



Exploring resistance to change:
case study of a German sporting-goods company

Steven Janes

Declaration

In presenting this dissertation for assessment I, Steven Janes, declare that it is a final copy including any last revisions. I also declare that it is entirely the result of my own work other than where sources are explicitly acknowledged and referenced within the body of the text. This dissertation has not been previously submitted, in whole or in substantial part, for any degree at this or any other institution.

It is being submitted in partial fulfilment of the requirements for the degree of Master of Arts: Leading Innovation and Change at York St. John University, United Kingdom.

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Abstract

This dissertation examined the phenomenon of resistance to organisational change. Major organisational changes are frequently part of a strategy to either increase revenue or reduce costs, so if the change is unsuccessful this can have serious consequences for the organisation. Resistance to change is often cited as a contributing reason for the failure of a change. If this is the case, then understanding the forces that contribute to resistant behaviour and finding appropriate ways to respond to them should therefore improve the chances for successful changes. This dissertation also recognised that not all resistance needs to be overcome. Often what management interprets as 'resistance' can be engaged employees trying to address potential problems with a change. By remaining open to feedback and listening to dissenting voices, change agents can improve the quality of the change.

This dissertation started by outlining the background to the case study, and asking "What caused resistance to the organisational change within the case study company, how did management respond, and how effective were their responses?" The literature review laid out and critically examined key texts around organisational change, resistance to change and strategies to address perceived resistance, and concluded with a conceptual framework based on the literature which hypothesised that the key factors that can influence resistant behaviour are participation and communication, stake and vested interest, as well as the credibility of the solution.

Primary data was collected through semi-structured interviews with a sample from key stakeholder groups. Secondary data in the form of in-house surveys, contemporary management presentations etc. were used to triangulate the primary data and provide further factual content. The results of the research showed a clear correlation between the 'influencers' identified in the conceptual framework and resistant behaviour. Based on the conceptual framework and the results of the analysis, a model was created to demonstrate and help predict resistant attitudes, which indicated how these might translate into resistant behaviour. Through highlighting the impact their choices can have on attitude and behaviour, this model can also guide change agents in their approach to the change. The dissertation concluded that future changes should aim to maximise participation in the change, and to openly address management expectations as well as address fears and concerns of change recipients.

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Abbreviations used in this Dissertation

CAQDAS	Computer Aided Qualitative Data Analysis Software	Software packages designed to aid analysis of qualitative data
CoE	Centre of Excellence	Department within IT responsible for single business area (Sales, Marketing, Operations etc.)
CIO	Chief Information Officer	Direct report of CEO
ERP	Enterprise Resource Planning	Business management software
FTE	Full Time Equivalent	Amount of work done by one full time employee
HC	Head Count	Physical person, who may work full or part time
IT	Information Technology	
NPS	Net Promoter Score	Simple measure to gauge loyalty to an organisation
PWC	Price Waterhouse Cooper	A large, international management consultancy firm
SMT	Senior Management Team	Direct reports of CIO. VP and Senior VP level
VP	Vice President	Executive level

Chapter 1: Introduction

Resistance to Change

“There is nothing more difficult to take in hand, more perilous to conduct, or more uncertain in its success, than to take the lead in the introduction of a new order of things” (Machiavelli, 1532, p. 95). Machiavelli goes on to warn that changes will be resisted by those who profited under the old system, while even change supporters will only be lukewarm, since it is difficult to believe in something one does not have long experience of.

Although this advice was given 500 years ago, *“one of the most baffling and recalcitrant of the problems which business executives face is employee resistance to change”* (Lawrence, 1954, p. 49). These change leaders are quick to blame failure on resisters: *“They resisted a perfectly logical move, so it fell apart”* (Ford & Ford, 2009, p. 99).

A huge amount of research has been done on change management, and management schools all teach best change practices. With so much effort channelled into change management, one could expect the situation to have improved since Machiavelli’s time. However, when McKinsey surveyed 1,546 executives, they reported 70% of their transformational changes did not reach their goals (Isern & Pung, 2006). Change, it seems, is still not easy, and resistance to change is still seen as a frequent cause for failure.

This Dissertation explores the phenomenon of resistance to one organisational change, and considers how to improve chances for future changes.

Introducing the case study

The organisation and organisational structure are described in Appendix 1. At the time this Case Study starts, a decision was made to move the Development, Testing and Support functions into three new ‘horizontal’ departments serving all of the departments (see Figure 1). The aims were to reduce cost

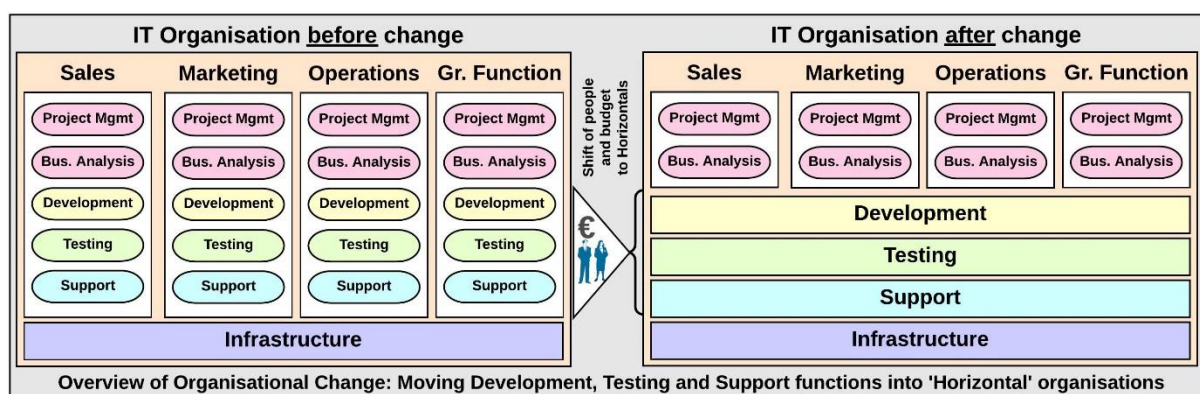


Figure 1: Overview of Organisational Change (Janes, 2015)

through synergies, improve quality through standardisation, and internalise expertise. The CIO

emphasised from the start that headcount would not be reduced, but rather *increased* as expensive external consultants were replaced by internals.

During the concept phase of this change, the Senior Directors leading each department provided information on the quantity of Development, Testing and Operations resources. By transferring and concentrating these into horizontal departments, cost synergies were expected, and the decision to proceed with the change was made based on the collected information.

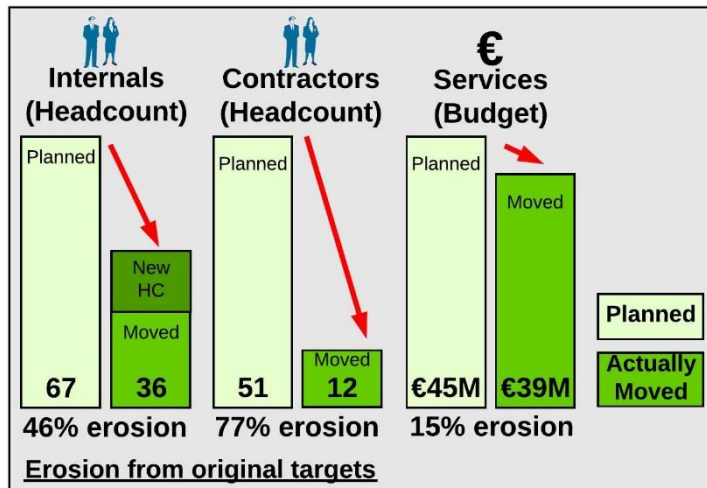


Figure 2: Erosion from original targets (Janes, 2015)

rest were empty head-counts that would be recruited.

However during implementation, when the Senior Directors were asked to name who would move to the Horizontal organisations, substantial differences emerged compared to the planned numbers (see Figure 2). The reality was in fact worse than Figure 2 implies, since for the Internals only 20 out of 36 headcounts were actually named people who would move. The

Savings targets were now threatened. The main reasons given by Senior Directors for this erosion were:

- The original calculations were done as fragments of FTEs¹ (e.g. 0.2 FTE of Development effort), assuming these would balance out. However, when one person performed several different tasks, it was difficult to move them.
- 'Configuration' work² remained in the departments, with only coding moving to the Development horizontal, since 'configuration' was specific to an application and skills could not be shared. Many FTEs originally identified as 'Developers' were later claimed to be doing 'Configuration' work.

¹ An 'FTE', or 'Full Time Equivalent', is calculated as the amount of work expected from one full-time employee. This is contrasted with 'Head Count', which may include part-time people, or those on Maternity leave

² 'Configuration' refers to customising an application through its own user interface, as opposed to 'Development' which involves programming code in a generic programming language (e.g. Java, C++)

- Certain work was claimed as too specialised for horizontals because no synergies could be found.

This erosion does not, by itself, prove ‘resistance’. It does, though, indicate a mismatch between executive and middle management viewpoints which threatened the success of a multi-million Euro change. It is therefore relevant to identify whether resistance actually happened, if so to identify the causes, and the steps leaders might take to effectively address them in order to complete the change successfully.

Research Question and objectives

This Dissertation asks “What caused resistance to the organisational change within the case study company, how did management respond, and how effective were their responses?”

The principal aims are to understand whether resistance actually happened, if so to discover the reasons, and to examine the strategies employed to address it and their effectiveness. The Research Objectives are:

- Perform a critical literature review on organisational change, resistance to change, and different intervention strategies to address resistance
- Collect primary research data through interviewing key stakeholders in the change
- Analyse, based on qualitative data gained in interviews, whether resistance occurred in this instance
- If found, identify the causes of resistance. If resistance did not occur, identify why the change did not go ahead as planned
- Consider the strategies used to address resistance in this instance
- Based on the learnings gleaned from the research, propose intervention strategies to improve the chances of future changes being successful

Although this dissertation focuses on one instance of organisational change in a single company, tentative conclusions can be reached about change-management practices in the wider business context: *“one can often generalise on the basis of a single case... ‘the force of example’ and transferability are underestimated”* (Flyvbjerg, 2011, p. 305). However, it should be remembered that each change and each organisation are different.

My personal motivation for this research was to better understand what had occurred. Having helped guide the change through the concept phase, I wanted to understand why this disintegrated during implementation: whether due to resistance, or through good people trying to highlight concerns with

the solution (Lawrence, 1954). It should also bring value to the organisation which, although now benefitting from improved quality, has still not fully realised the cost efficiencies sought in this change.

Synopsis

- Chapter 2 presents a critical literature review exploring Organisational Change, the phenomenon of Resistance to Change, and different Intervention Strategies that can address resistance
- Chapter 3 outlines the Methodology choices used in this research including the sampling rationale, an explanation of research ethics and a discussion of the credibility of the findings
- Chapter 4 presents the findings from the research, followed by a discussion of what they can mean. This culminates in the presentation of a theoretical model of Resistant behaviour
- Chapter 5 presents the conclusions from the research and literature review with recommendations for management. It also discusses limitations of the study and recommendations for future research
- Chapter 6 concludes with a personal reflection on my own journey through the process

Chapter 2: Literature Review

Introduction – Organisational Change and resistance

“Change is constant... change is inevitable” (Disraeli, 1882, p. 487)

Whilst change within an organisation may be constant and inevitable, *“the only thing more dangerous than doing one is never doing any!”* (Pfeffer & Sutton, 2006, p. 161). The forms change takes are many and varied. A change can be Incremental or Discontinuous (Grundy, 1993), its goals Transformational or merely a Realignment (Balogun & Hope Hailey, 2004). The change process may be either Continuous or Episodic, and the scope either Convergent or Radical (Plowman, et al., 2007). The causes for change are also varied. It may be caused by the growth of an organisation moving through its life-cycle (Greiner, 1972), or because of changes in forces influencing the organisation’s environment (Porter, 1985).

Despite its ubiquity, organisational change is rarely easy: A recent McKinsey study found nearly half the changes done were considered unsuccessful (Aguirre & Alpern, 2014). Michael Hammer, the BPR³ guru, considered that nearly 70% of BPR changes fail, and half the executives surveyed by a consulting company considered their ERP⁴ implementations unsuccessful (Pfeffer & Sutton, 2006).

A survey of 400 organisations cited by Prochaska et al (2001) indicated the main reason for organisational change failure as *resistance* to change. Resistance may be interpreted in different ways, but with some common themes: Firstly, there are ‘winners’ and ‘losers’: *“structural change almost always involves redistribution of resources across subunits... so at least some subunits are likely to resist any proposed reorganization”* (Hannan & Freeman, 1977, p. 931). Winning and losing are not confined to the ‘technical’ outcome of the change, but also include changes in the social structure (Lawrence, 1954). Secondly, while Management might assume most staff are motivated by the same things they are, this is frequently not the case (Keller & Aiken, 2008). Thirdly, Management may assume, due to their (perceived) good communication of the vision, their change will be supported, but frequently they under-estimate the amount of communication needed (Kotter, 1995), did not fully understand how things work operationally (Lawrence, 1954), or have a distorted view of which solution best addresses current problems (Rumelt, 1995; Ford & Ford, 2009).

³ BPR: Business Process Reengineering

⁴ ERP: Enterprise Resource Planning

As can be seen, 'resistance' to change may reveal the hidden social impact of a change or address fundamental problems with the change itself. Given the financial and human cost of Organisational Change and the potential disruption to daily business, it is important to examine how the odds of achieving successful changes can be improved. This Literature Review examines these themes, and considers potential methods to increase the chances of successful changes.

Resistance to change

What does 'resistance' mean?

'Resistance' is frequently cited as one of the most common reasons for the failure of a change (Bovey & Hede, 2001; Prochaska, et al., 2001), which raises the question 'what do we actually mean by resistance?' *"When leaders talk about resistance to change, what they usually mean is that subordinates... aren't doing what leaders want them to do"* (Pfeffer & Sutton, 2006, p. 184). Unfortunately, there is no universally accepted definition of resistance or the key factors that contribute to it (Erwin & Garman, 2010), although there are recurring themes such as Vested Interests and Lack of Participation. Resistance can be overt or covert, although Giangreco and Peccei (2005) found it was most often expressed passively, e.g. not fully supporting the change, or not speaking enthusiastically of it to their teams.

Is there such a thing as 'resistance'?

Lewin (1951) proposed that many different forces were at work within an organisation⁵, some pushing *for* change, others *resisting* it. Social organisations, similar to biological systems, have a natural tendency to resist change ('homeostasis'), so to bring about change the system must first be destabilised, a process he called 'unfreezing', ensuring the forces *for* change are greater than those *against* it (Marrow, 1972).

⁵ At the time, Lewin was writing about Social Science, but in the meantime his work has become associated with theories on Organisational Change

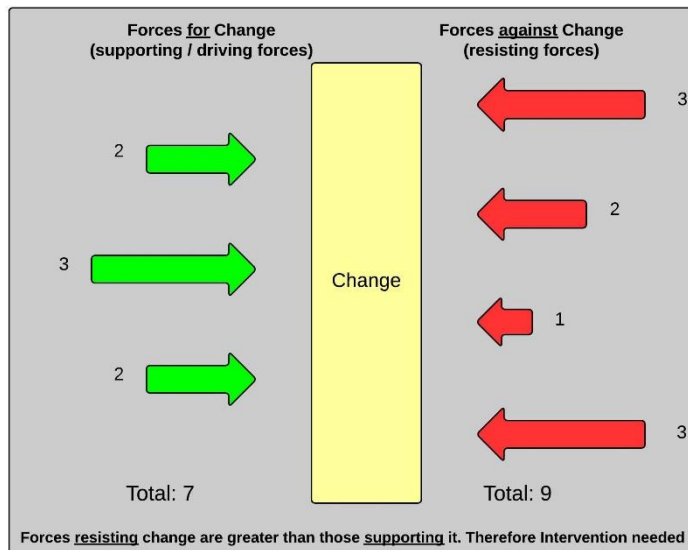


Figure 3: Force Field Analysis (Lewin, 1951)

In Lewin's model, if the forces resisting change exceed those supporting it, the change will most likely fail without intervention (see Figure 3). He cautions while it may be possible to force a change by increasing the 'supporting' forces (e.g. increasing management pressure), it will be more sustainable if 'resisting' forces are reduced.

When Lewin discussed 'resistance' he referred to 'forces' that could aid or

hinder a given change from succeeding, not 'people'. He saw *"work taking place within a system of roles, attitudes, behaviours, norms, and other factors, any and all of which could cause the system to be in disequilibrium"* (Dent & Goldberg, 1999, p. 31). However, over the last half-century the term 'resistance', meant by Lewin to describe systemic phenomenon under control of change agents, has *"been transformed... into a not-so-disguised way of blaming the less powerful for unsatisfactory results of the change efforts"* (Krantz, 1999, p. 42). 'Resistance' has now become an emotionally laden term, describing the *recipients* of the change (Ford, et al., 2008), implying *"the source of the problem is solely within the subordinates and that the supervisor... must overcome this unnatural reaction"* (Dent & Goldberg, 1999, p. 37). Dent and Goldberg (1999) suggest the reason for this shift, and why resistance is now seen in terms of conflict between labour and management, resulted from the growth of unionism in the USA during the 1950's. They maintain through repetition over time, this view became a 'received truth' and no longer questioned.

One result of this shift in perception is, if management goes into a change expecting resistance, they will find something that looks like it (Kanter, et al., 1992). However, *"there are few things that irritate people more than to be blamed for resisting change when actually they are doing their best to learn a difficult new procedure"* (Lawrence, 1954, p. 55).

Giangreco and Peccei (2005) consider dissent to the negative aspects of the change, such as losing status, pay, comfort etc., is not the same as resisting the change itself⁶. Likewise, what change leaders interpret as 'resistance' may actually be fully-engaged employees highlighting legitimate obstacles to

⁶ Giangreco and Peccei prefer the term 'anti-change behaviour' to 'resistance'

the change (Lawrence, 1954; Piderit, 2000). Even when all stakeholders agree the change is 'good' it may still present significant risks to the organisation which can disrupt or cause uncertainty to employees (Pfeffer & Sutton, 2006). These obstacles may be real or imagined, but in either case they are management's duty to resolve rather than just criticising employees (Kotter, 1995). Piderit (2000, p. 785) strongly believes management needs to listen to voiced concerns: *"it is worth entertaining efforts to take those good intentions more seriously by down-playing the invalidating aspect of labelling responses to change 'resistant'."*

Senge (1990, p. 87), echoing Lewin (1951), observed 'resistance' is generally neither random nor malicious, but a *"response by the system, trying to maintain an implicit system goal"*, usually due to a perceived threat to the traditional way of doing things.

Causes of resistance to organisational change

The role of the change agent

A Change Agent may be defined as one who *"induces a subordinate to behave in a desired manner"* (Bennis, 1959). During a change, power and resources may be won or lost, and *"change agents have to appreciate how and where it is being redistributed... [and] ignore the politics of change at their peril"* (Senior & Swailes, 2010, p. 220). Many authors apparently assume the change represents the best solution for the company and change agents always act correctly, thus giving the impression any resistance stems from change recipients trying to sabotage the change (Ford, et al., 2008). However, change agents are also *participants* in the change, therefore cannot be absolved from their contribution to resistant behaviour through their own actions (Beer, et al., 1990).

Attitude / behaviour relationship

Understanding stakeholders' *attitudes* to a change does not, by itself, predict whether they will support or resist it (Zanna & Fazio, 1982). Although a causal relationship between *attitude* and *behaviour* seems intuitively obvious, research showed it to be more complex (Crano, 1995). One influential early research was 'Attitudes vs. Actions' conducted by LaPiere (1934), which highlighted inconsistencies between espoused attitudes and actual behaviour⁷. Oreg (2006) considered resistance as an interplay not only between 'Cognitive' (attitude) and 'Behaviour' dimensions, but also added 'Affect' – how one *feels* about the change. Piderit (2000) went further, suggesting people not only

⁷ LaPiere's study (1934) on espoused racial attitudes and their relationship to actual behaviour was used as part of the US Supreme Court's *Brown vs. Board of Education* decision that ended racial segregation in US schools

operate in all three dimensions but may be simultaneously ambivalent in each – e.g. *hopeful* about new opportunities while *fearful* they cannot cope.

Many factors influence whether a person's attitude regarding a change will translate to behaviour (Fazio & Roskos-Ewoldsen, 2005). These behaviours may be supportive or resistant, active or passive, covert or overt (Bovey & Hede, 2001). Ajzen and Fishbein proposed a 'Theory of Reasoned Action', assuming "*people consider the implications of their actions before they decide to engage... in a given behaviour*" (1980, p. 5). According to their theory two factors drive a person's intention, which then drives their behaviour: Firstly, their *attitude* about the behaviour⁸, and secondly the *cultural norms* within the organisation. This second part concerns assumptions of what sort of behaviour is expected by the rest of the organisation, coupled with the value the person puts on their expectations⁹. Cultural norms can influence a person's behaviour to the extent that it no longer bears any relationship to their attitude (Fazio & Roskos-Ewoldsen, 2005). The stronger the person's attitudes, the more they tend to be persistent, resist being changed and are reflected in behaviour (Crano, 1995).

As mentioned previously, Ajzen and Fishbein's model assumes people's intentions and behaviour, are driven by conscious analysis. However, sometimes behaviours are not preceded by deliberation, but are impulsive. In these cases their resultant behaviour can generally be predicted from their attitudes (Fazio & Roskos-Ewoldsen, 2005).

Not everyone agrees behaviour can be influenced by first changing attitude. Beer et al (1990) consider behaviour is shaped by people's roles, therefore the best way to change behaviour is putting them into a different organisational context with new roles, responsibilities and relationships, which in turn will force new attitudes and behaviours on them.

Vested Interest, Stake and different motivators

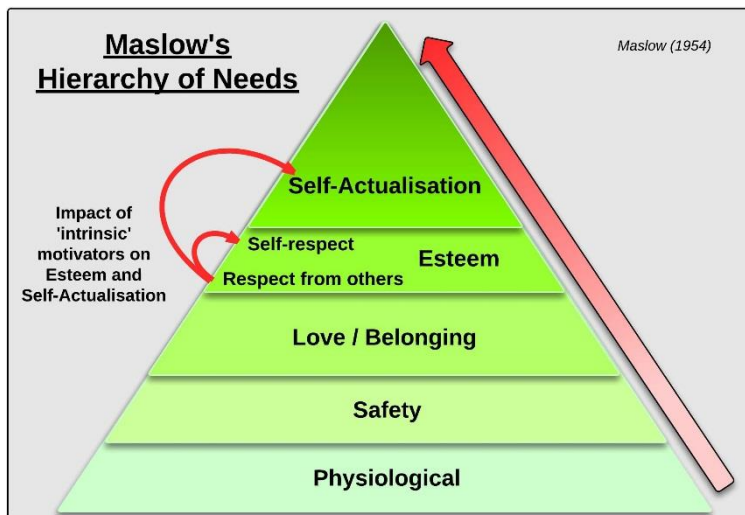
One factor influencing attitude and behaviour during change is *vested interest*. This can be defined as how much "*an attitude object is hedonically relevant for the attitude holder*" (Crano, 1995, p. 132), i.e. how much net personal pleasure a person gains or loses. Sivacek & Crano (1982) indicated a strong correlation between having a vested interest in an outcome, and translating attitude to behaviour. Cory (1937), investigating inconsistencies between *espoused attitudes* and *actual behaviour*, found

⁸ In this case, *resistant* behaviour

⁹ This may even result in a negative relationship between expected and actual behaviour, e.g. a teenager may refuse to clear up their room precisely *because* a tidy room is the cultural norm in the household.

while attitude and behaviour did *not* correlate, people who really *needed* a given outcome were most likely to bypass the rules¹⁰.

Regan and Fazio (1977) found the size of personal *stake* in a change's outcome is a significant contributor to converting attitude to action. This might seem to imply management can 'buy' support for a change simply by embedding it into their rewards process, but opinion differs on the efficacy of this. A recent PWC paper advises "*persuading people to change their behaviour won't suffice for transformation unless formal elements – such as... reward systems... are redesigned to support them*"



(Aguirre & Alpern, 2014, p. 7).

Herzberg (1966), on the other hand, considered 'extrinsic' motivators such as bonuses or sanctions far less influential on behaviour than 'intrinsic' motivators coming from the task itself, since only these have the ability to raise a person to higher levels of Esteem, or even to Self-Actualisation, the highest level of Maslow's (1954) hierarchy of

Figure 4: Hierarchy of Needs (Maslow, 1954) – adapted

needs¹¹ (see Figure 4). Herzberg (1976) termed pay and bonuses 'Hygienes' which could not themselves provide motivation, but whose *absence* would provoke dissatisfaction. In reality, most organisation's rewards systems already have several components linked to company and individual performance metrics, so the incremental financial difference from one extra target is unlikely to be significant (Keller & Aiken, 2008).

The answer to this paradox may be that if the rewards process ignores – or runs contrary to – desired behaviour then employees' motivation to support the change will be reduced. However, merely adding another element to the rewards matrix is unlikely to make people embrace an unpopular change.

¹⁰ Corey's research looked at students cheating in examination. He found a strong correlation between 'needing' good scores (i.e. those who had done poorly in the examination and so had a strong vested interest) and being likely to cheat

¹¹ Although Maslow's hierarchy is nowadays almost always shown as a pyramid, Maslow himself never showed it as such

Predicting whether someone may support or resist a given change is therefore not straightforward. However, moving from *attitude* to *active resistance* is more likely when attitudes are strongly held, and they at least perceive the change to have significant negative impact on them (Crano, 1995).

Reactions to dramatic / traumatic change

In a modern business context, people are expected to embrace change: “*we are to ‘foster hardiness’ and be flexible; change is a challenge to confront, an adventure; we must ‘thrive on chaos’*” (Jick, 2009, p. 404). Recent bestsellers like ‘Who Moved My Cheese’ (Johnson, 1998) emphasise change as a normal part of life that should not only be embraced but actively sought-after. Showing signs of anger or depression following a change is frequently seen as a sign of ‘unprofessionalism’ or ‘not being a team-player’. Many, however, find organisational change a traumatic journey.

When Kübler-Ross (1969) analysed the emotional stages taken by terminally ill patients, she concluded – contrary to modern business expectations of change – these emotions are normal mechanisms for coping with traumatic changes¹².

Kübler-Ross’s research concerned people dealing with terminal illnesses, so cannot always be directly mapped to the work environment (Rashford & Coghlan, 1989). Other authors, such as Fink et al (1971), Rashford and Coghlan (1989) and Bridges (2003), built on and adapted her framework for people whose working life has been impacted by change. Although using different terminology, each framework can be mapped against Lewin’s (1951) three stages of change – Unfreeze, Move, Refreeze (see Figure 5). Each framework assumes a general movement from ‘Denial’ towards ‘Acceptance’, although times people take in each stage vary, or they may find themselves stuck in one stage (e.g.

¹² Kübler-Ross’s theories were not universally acknowledged. Bonanno rejected the idea that people needed to go through stages of grief, and instead considered *resilience* to be a normal response to traumatic change (Bonanno, 2009).

Depression). Kübler-Ross considered them as more of a framework within which people may move back and forward between stages, even experiencing different stages concurrently:

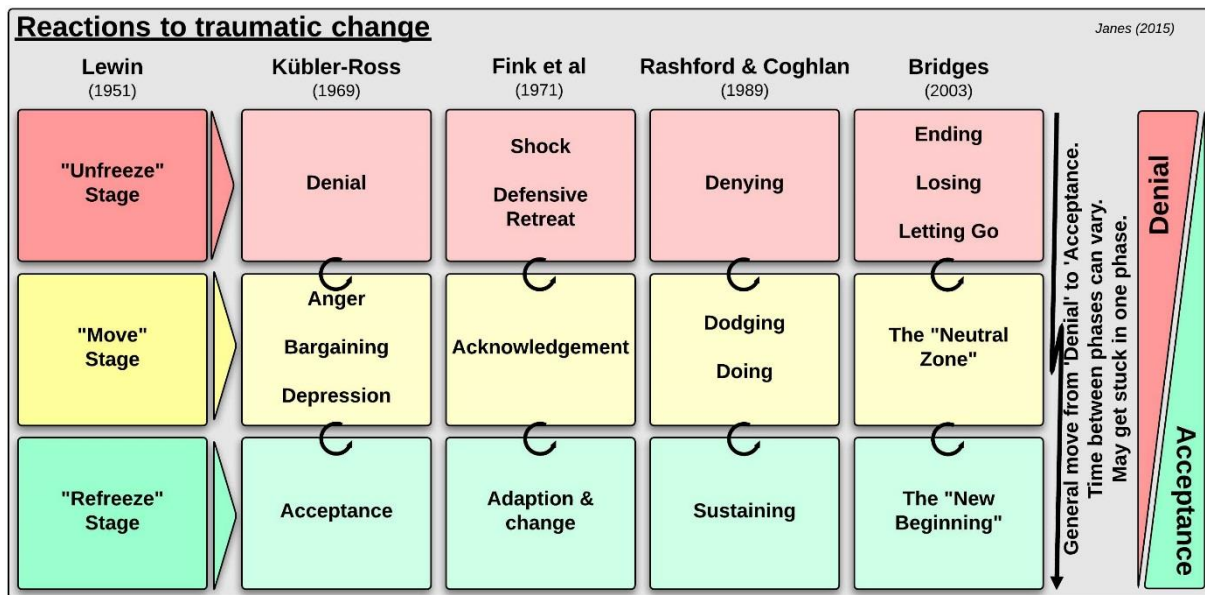


Figure 5: Reactions to traumatic change (Janes, 2015)

The implication of Figure 5 for Change Agents is to accept certain amounts of 'denial' – often perceived as 'resistance' – are a normal part of organisational change. Jaffe et al (1994) proposed 'resistance' as a reaction during changes was not static, but a dynamic stage through which people move before exploring and finally committing to the new world. Rather than punishing such behaviour, leaders should seek to guide change recipients in their journey towards acceptance.

Bridges (2003) considered while *Changes* are situational, *Transitions* are psychological and depend on relinquishing the old order, with the associated sense of loss. He reflected companies often neglect the psychological need to make the emotional journey and so *"nearly guarantee that the transition will be mismanaged and that, as a result, the change will go badly"* (Bridges, 2003, p. 7). Instead it is important to allow people to pass through *each* stage, since the change may be endangered if stages are bypassed. Management may wish to go directly to the '*new beginning*' phase, for example by energising staff through inspirational messages and celebrations, but sometimes people are just not ready (Jick, 2009).

There are complications when trying to apply such frameworks universally to change situations. People are often faced with multiple changes within a short time. It is challenging to transition to a different stage of one change (e.g. changing organisation ownership) whilst having to cope with the onset of the next (e.g. changing roles). Also, not only are different people objectively impacted to different degrees, such as how much they 'win' or 'lose', but also differ in their innate resilience to change (Jick, 2009).

Social aspects of change

A change has two aspects: the *technical* modification of organisations or processes, and the *social* component, *“the way those affected by it think it will alter their established relationships in the organization”* (Lawrence, 1954, p. 52). Management is often more comfortable dealing with the technical elements of change focusing on Structure and Systems than the ‘softer’ aspects such as values and behaviour (Beer & Eisenstat, 1996).

These ‘social’ aspects of the change, how it affects the implicit contract between employee and employer, are often not well covered. *“For most people, the negative reaction to change is related to control – over their influence, their surroundings, their source of pride, how they have grown accustomed to living and working”* (Jick, 2009, p. 406). Organisational changes by their nature primarily impact people’s lives. Many people measure their self-worth by their work (Bridges, 2003), so a *“change in their human relationships that generally accompanies technical change”* (Lawrence, 1954, p. 49) has capacity to cause stress.

The sensitivity to the social aspects of change depend on the organisational culture. When Peter Drucker reportedly claimed *“culture eats strategy for breakfast”*, the implication was, however well an organisation has prepared its strategy, the Organisational Culture can make or break the planned implementation. If key aspects of the change are incompatible with the culture, then, however well-intentioned and communicated, the implementation is unlikely to be successful (Schwartz & Davis, 1981). Culture plays such a strong role it is often *“the barrier to change”* (Deal & Kennedy, 1982, p. 159), to the extent trying to force changes contrary to culture is rarely worth the effort.

Inertia

For many organisations a major factor for change is overcoming inertia. As Lewin (1951) maintained, organisations are generally in equilibrium and not easily changed. If the organisation is healthy, this inertia can be advantageous, but if change is needed it can cause problems. Rumelt (1995, p. 106) organised the sources of this inertia into five groups:

“Distorted Perception”:

Rumelt proposes actual change begins with people’s perception of the need for change. If this perception is distorted, the vision to respond to it is unlikely to be appropriate and everything following will be at risk. These distortions may include invalid predictions of what the future holds, or inability to accept or correctly interpret ‘difficult’ information about the organisation (Pardo del Val & Fuentes, 2003). Management is often either confused themselves about their vision, or unable to communicate it compellingly (Kotter, 1995).

“Dulled Motivation”:

Both Beer et al (1990) and Kotter (1995) stress communicating a compelling vision, noting a frequent mistake is under-communicating the change – it must be communicated multiple times, using multiple mediums. *“Poor vertical communication”* is also cited as one of the “Six Silent Killers” for strategic implementation (Beer & Eisenstat, 2000). This assumes what executives find compelling also motivates staff members, i.e. both groups share the same values. However often *“what the leader cares about (and typically bases at least 80 percent of his or her message to others on) does not tap into roughly 80 percent of the workforce’s primary motivators for putting extra energy into the change program”* (Keller & Aiken, 2008, p. 3). To address this, executives must first understand what motivates other players, then tune their message to emphasise these aspects of the change.

Although there appears a positive correlation between communication and openness to change (Lewis, 2004; Wanberg & Banas, 2000), Oreg (2006), rather surprisingly, found a *positive* correlation between *receiving information about change* and *resistance to the change*, suggesting communication alone is not sufficient, but employees make decisions whether to support or resist based on information received. Communication must be more than empty words. If the messages on change are not backed by, or contradict, management actions they will be ineffective at promoting the change (Larson & Thompkins, 2005).

“Failed Creative Response”:

Even when the problem is known, it is not always easy to find the right solution. *“The difference in information that groups work with often leads to differences in analyses, which in turn can lead to resistance”* (Kotter & Schlesinger, 2008, p. 134). People on the front-line may feel they have better insights into solutions to the problem than executives. Unless leaders are willing to listen, they are likely to encounter resistance (Ford & Ford, 2009).

“Political Deadlocks”:

The implementation of a change can be endangered when there is a mismatch between organisational values and how the change is perceived (Klein & Sorra, 1996). Implementation can only happen when *“alignment is achieved across levels, geographies, functions, product lines, and supply chains”* (Denison, et al., 2012, p. 51). One issue is, even with access to the same information, political differences may mean different segments of an organisation (e.g. management and unions) have fundamentally different goals (Morgan, 2006).

“Action Disconnects”:

If it is not possible to openly discuss ideas that challenge *“accepted assumptions, values, and norms regarding business strategy and management practice”* there will be disconnects between those pushing for the change and those impacted by it (Beer & Eisenstat, 1996, p. 599). If open discussion is

discouraged, either implicitly or explicitly, there is pressure to conform: *“social anxiety about violating group norms... [manifests as] bias against accepting the implications of any new information that could challenge the group’s preferred course of action.”* (Janis, 1982, p. 88).

Intervention strategies for resistance to change

Encountering resistant behaviour is not necessarily bad, in fact *“there can be no real change without some resistance”* (Beckhard & Harris, 1987, p. 95) because resistance signifies the prevailing attitude that requires, as Lewin (1951) says, ‘unfreezing’ before any change can occur.

Although necessary for sustainable changes, resistance is, however, always a signal change leaders should pay attention to. It is the leader’s task to understand and address the source of resistance rather than just forcing the change through. *“Signs of resistance... are useful in the same way that pain is useful to the body”* (Lawrence, 1954, p. 56). Like pain, resistance alone will not reveal the cause of the problem. However, in the same way treating tooth-ache with pain-killers will not address the cause, so attacking signs of resistance with heavy-handed counter-attacks is unlikely to address the causes of the problem (Lawrence, 1954). Resistance may highlight perceived technical flaws in the solution that management ought to check, or indicate the change endangers existing social arrangements (Lawrence, 1969).

Kotter and Schlesinger (2008) present a range of strategies available to management to respond to perceived resistance, ranging from ‘minimising’ resistance through education, participation or accompaniment, to ‘overcoming’ it through manipulation or coercion (shown as a continuum in Figure 6):

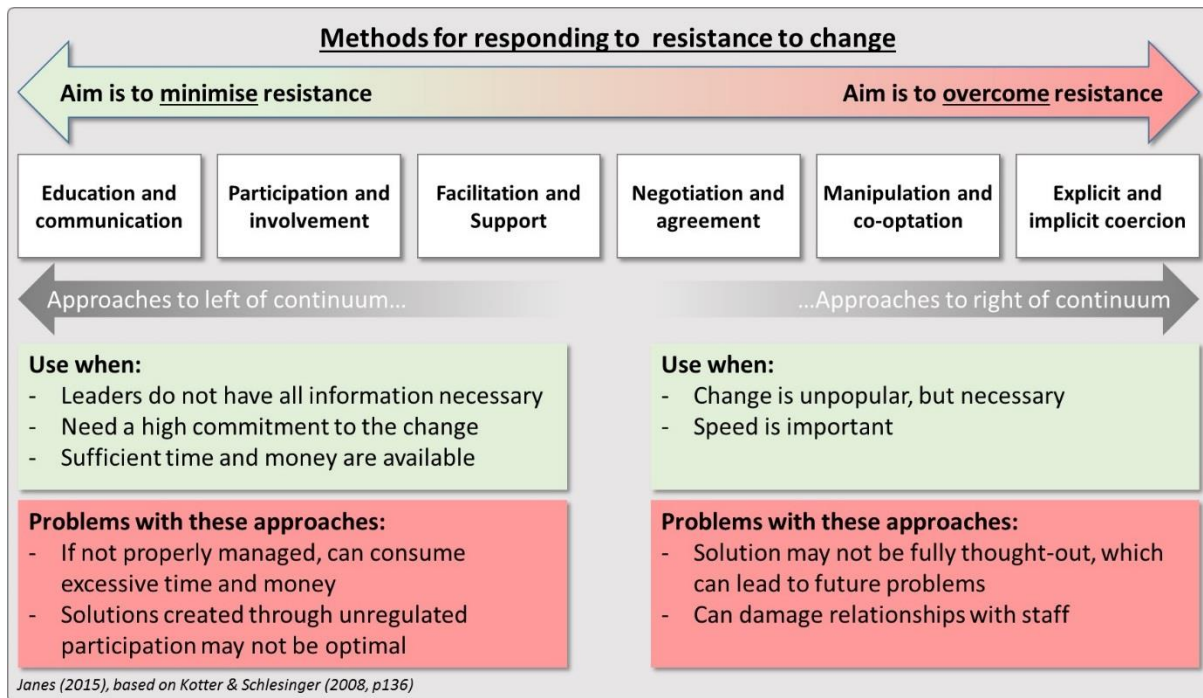


Figure 6: Responses to Resistance (Janes, 2015, based on Kotter and Schlesinger, 2008, p136)

This continuum is rather simplistic for several reasons: other responses are possible, the circumstances when to use each approach are unlikely to be clear-cut, and not every manager can convincingly adapt each approach to their personality. However, the key lesson from Figure 6 is that there are multiple different responses available, and the skill lies in picking the most appropriate rather than a default response. The skilful leader will be able to sense signals in the organisation and adapt their response to the situation, not only reacting according to the situation but also “*use their personal leadership assets to reframe situations*” (Goffee & Jones, 2006, p. 13)

The following section outlines several approaches managers can consider to reduce resistant behaviour:

Increase self-awareness

Many managers default to the right side of the continuum in Figure 6 when perceiving resistance. Although those voicing criticism may feel they are acting in the company’s best interests, when Management feels themselves personally challenged they may react aggressively (Ford & Ford, 2009). Even where criticisms are valid, the usual response to messages that threaten loss of face is defensive behaviour (Argyris, 1990).

Open discussion of barriers to change are made more difficult by psychological defensive routines. The universal response to potentially embarrassing or threatening problems is denial of the facts and an urge to cover-up, then cover-up the cover-up (Argyris, 1990). These blind-spots may be due to pre-

occupation with the technical side of the change (Lawrence, 1954), or stem from either excessive pride¹³ or fear (Rumelt, 1995). In his work 'Groupthink', Janis (1982) identified the fear or discomfort felt by being an 'outlier', of not conforming to group norms, and the disastrous consequences this can lead to.

To address these problems and so increase implementation success, Yukl (2010) recommends being willing to adjust the change process itself if not bringing the results needed. This feedback loop to *"monitor and adjust strategies in response to problems..."* also forms part of Beer et al's (1990, p. 164) change methodology. Argyris and Schön (1978) termed this process "double-loop learning", a concept that appears superficially self-evident, although many leaders struggle to master it.

The challenge of adjusting the change process is being sufficiently self-aware to see shortfalls – especially in one's *own* behaviour. Argyris and Schön (1974) differentiate between 'Espoused Theories-of-Action', how someone *says* they would behave in certain circumstances, and 'Theories-in-Use' which can be inferred from how they *actually* behave, and which may or may not be compatible with their espoused theory. This inconsistency may lead to resistant behaviour, because *"nothing undermines change more than behaviour by important individuals that is inconsistent with their words"* (Kotter, 1995, p. 64). The reality is that, while people can generally see discrepancies between *other people's* espoused values and their observed behaviour, many are *"blind to their incompetencies, and are unaware that they are blind"* (Argyris, 2002, p. 206), particularly when clear vision would reveal embarrassing facts, or reflect badly on their own competence.

Typical 'Theory-in-Use' behaviour, according to Argyris, is to act such as to *"inhibit inquiries into and tests of [behaviour] with the use of independent logic"* (Argyris, 2002, p. 212). The requirement to keep one's own position intact leads to defensive behaviour and misunderstandings, which inhibit learning from the situation. Since these destructive 'theories-in-use' are learned at an early age, people become skilled at using them. They are not only unaware of them, but also unaware they are keeping themselves unaware. This is supported by recent research from McKinsey, which found *"most executives don't see themselves as 'part of the problem', and therefore deep down do not believe that it is they who need to change"* (Keller & Aiken, 2008).

The implications for change leaders are that, when facing either overt or passive criticism of the change solution or the change process, they need to apply the Emotional Intelligence competencies

¹³ Rumelt referred to this 'Excessive Pride' as 'Hubris'

of “self-awareness” – being able to assess their own emotional reactions, and “self-management” – keeping disruptive emotions and impulses under control (Goleman, et al., 2002, p. 47).

Participation as an intervention strategy

A recent study found most organisational changes fail due to not involving people at all levels of the organisation in planning and implementation (Aguirre & Alpern, 2014). This echoes one of the earliest studies of resistance by Coch and French (1948)¹⁴, who found participation in a change resulted in less resistance than imposed change, even when the final solution was the same.

The advantage of using participation is that “*the initiators listen to the people the change involves and use their advice*” (Kotter & Schlesinger, 2008, p. 135), which can not only improve the final solution but also ensures potential resisters feel they have some stake in the change. It can also elevate employee attitude from *compliance* to *commitment*, which might mean the difference between failure and success (Kotter, 1999).

However, participation as a change strategy is not always feasible. If not managed carefully, participation can lead to poor solutions and consume inordinate amounts of time (Kotter, 1999). “*In situations where speed is essential and where the changes will not be popular... coercion may be the manager’s only option*” (Kotter & Schlesinger, 2008, p. 137).

Although Coch and French (1948) concluded participation increased change effectiveness, Lawrence (1954) interpreted their research findings differently, seeing they highlighted more how the social aspects of the change were handled rather than participation levels.

It is dangerous to use ‘Participation’ to manipulate workers into buying-into strategies management has already decided on. If such manipulation is even suspected, trust and respect will be lost (Lawrence, 1954). Lewin (1947) also cautioned managers from using participation as a mere ‘technique’ to force changes through, warning each case needed careful analysis. ‘Participation’ is not something that can just be bought or implemented, nor a means of bending people to management’s will, but rather a “*feeling on the part of people, not just the mechanical act of being called in to take part in discussions*” (Lawrence, 1954, p. 51).

¹⁴ Coch and French conducted a milestone study of procedural change in the Harwood Manufacturing Corporation, a clothing factory. This was the first known usage of the term “Resistance to Change” (Dent & Goldberg, 1999)

Using resistance to improve the change

An alternative approach is to *use* resistance to improve the change. Change leaders who have been intimately involved in the details of the change often over-estimate how much has been truly internalised by the rest of the organisation (Ford & Ford, 2009). Signs of resistance might be the first clue that more communication, education or management accompaniment through the process is needed.

“Sometimes that resistance is well-founded, well-intentioned, and actually helpful in keeping companies from doing dumb things” (Pfeffer & Sutton, 2006, p. 185): Management should consider those resisting the change sometimes have better insight into the tasks involved, and by listening to them leaders can avoid problems by changing the change (Ford & Ford, 2009).

Conclusion

This Literature Review examined methods for achieving Organisational Change and the difficulties changes may face. Focusing on the phenomenon of ‘Resistance to Change’, it first considered what resistance really means, and potential causes for ‘anti-change’ behaviour. It then reviewed intervention strategies an organisation might employ to analyse and respond to resistant behaviour.

Conceptual framework of influencers for resistance in organisational change

From the literature, certain themes emerged that apparently correlate with perceived resistance to change. As suggested by Saunders et al (2009) these have been used to form a conceptual framework showing influencers of resistant behaviour, which will be tested in the Research Findings chapter (see Table 1).

Table 1: Conceptual Framework key influencers of resistance (Janes, 2015)

Influencer	Key theories	Specific hypotheses	Correlation with level of resistance
Communication and Participation	(Coch & French, 1948; Lawrence, 1954)	Where rationale is communicated well, and there is <i>genuine</i> participation in creating the solution, resistance will be significantly reduced	• Depth of communication feedback taken seriously • Perception could influence solution
Stake / Vested interest	(Crano, 1995; Sivacek & Crano, 1982; Corey, 1937; Regan & Fazio, 1977; Ajzen & Fishbein, 1980)	People feeling they significantly ‘lose’ by a change are more likely to resist	• Perception will significantly lose • Fear of loss of influence or position
Credibility of solution	(Lawrence, 1954; Pfeffer & Sutton, 2006; Kotter & Schlesinger, 2008)	If middle managers are not convinced solution is best for organisation, they will resist it	• Degree buy-into proposed solution

The degree these factors influence both *feelings* of resistance and actual *behaviour* depends largely on vested interest, stake, and altruism (Crano, 1995; LaPiere, 1934; Ajzen & Fishbein, 1980).

Although other factors, such as Organisational Culture, strength of feeling etc., also influence attitude and behaviour (Fazio & Roskos-Ewoldsen, 2005), the framework provides an indication of factors likely to move someone towards resistance.

Chapter 3: Research Methodology

Introduction

Before starting any piece of research, the researcher should consider their personal philosophy and the appropriate strategies to carry it out. Saunders et al (2009, p. 108) visualised these decisions as concentric layers of a 'research onion'. To answer the research question, a descriptive-explanatory research was carried out using the philosophies and strategy highlighted in red in Figure 7:

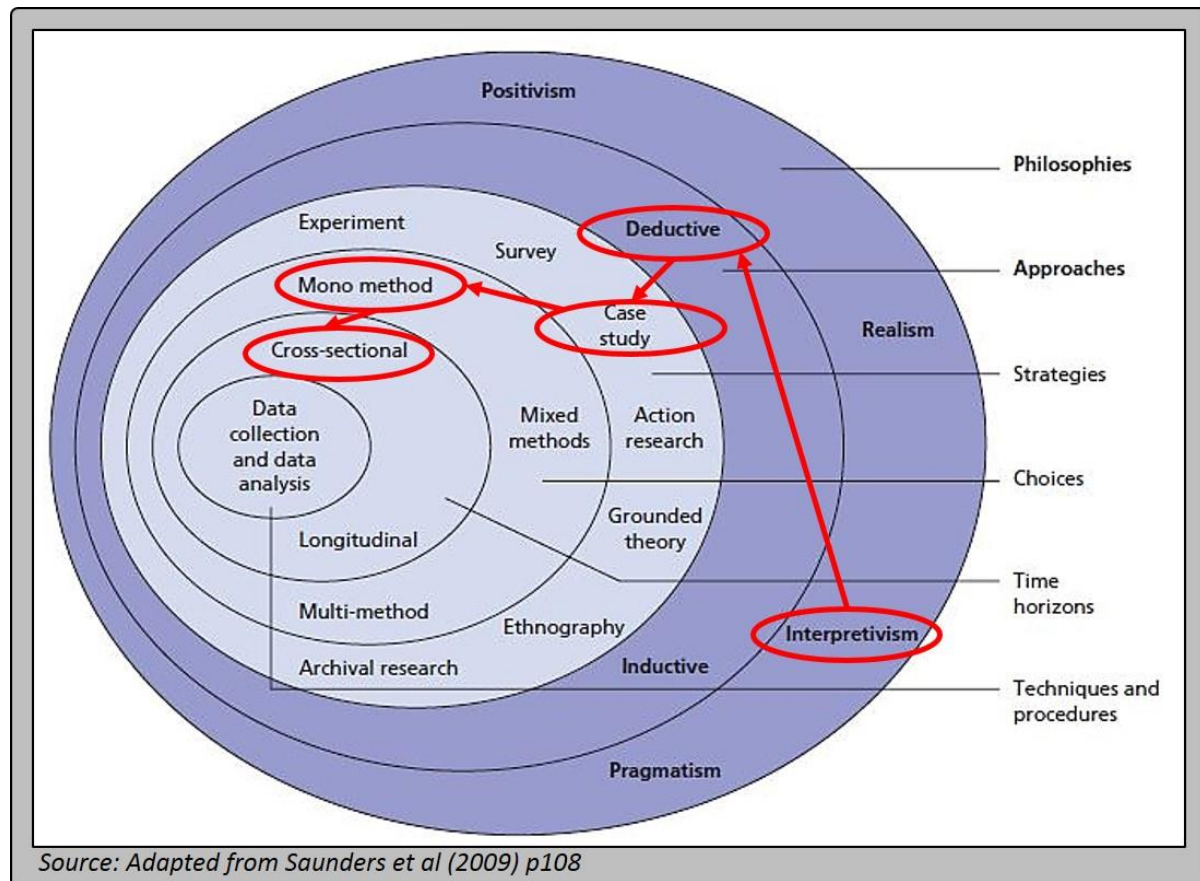


Figure 7: Route taken through the 'Research Onion'

Philosophies and approach

Ontology considers whether truth is absolute and revealed through facts, or if there are many truths and any 'facts' are subjective (Easterby-Smith, et al., 2012). This research assumes a 'Relativist' ontology since while there were observable facts, such as budget and headcount, people's interpretation of them varied.

Epistemology considers which of two research extremes to use: 'Positivists' assume verifiable facts with clear causality (Comte, 1853) and propositions reduced to elementary, independently verifiable, forms (Wittgenstein, 1953). The opposite approach, 'Interpretivist', (Habermas, 1970; Easterby-Smith, et al., 2012), assumes 'reality' is a social construct created by individual people in a unique environment. Since this study examines how humans as social actors (Saunders, et al., 2009)

interpreted events, it uses an *'interpretivist'* epistemology. This research acknowledges the observer is part of the process – i.e. an *emic*¹⁵ account – and aims to gather rich data from a relatively small sample (Easterby-Smith, et al., 2012).

Yin (2003) suggests starting a Case-Study with a set of propositions to help move it in the right direction. This research therefore uses a *'deductive'* approach to see if the data analysed supports the assumptions proposed in the theoretical framework presented in Table 1 on page 26.

Research strategies, choices and time horizons

This research looks deeply into one change in the context of people and organisation, and therefore follows a *'Case Study'* strategy, which is well-suited to investigations *"when the boundaries between phenomenon and context are not clearly evident"* (Yin, 2003, p. 13). Flyvbjerg (2011, p. 306) commented a case-study is *"useful for both generating and testing of hypotheses"*. Although we may be ultimately interested in understanding the overall phenomenon, the main purpose of case-studies is *"not to represent the world, but to represent the case ... the utility... is in its extension of experience"* (Stake, 1994, p. 245).

The time horizon for the study was *cross-sectional*, gathering information from stakeholders roughly ten months after implementation.

The use of a *relativist* Ontology and an *interpretivist* epistemology lends itself towards the *qualitative* methodology used in this research (Easterby-Smith, et al., 2012). Primary data was collected using semi-structured interviews, since *"the interview is probably the most widely employed method in qualitative research"* (Bryman & Bell, 2011, p. 465), and triangulated using secondary data sources created during the change period.

¹⁵ Emic: meaning an account taken from a 'native' point of view, as described in terms of the culture through which it was observed

Primary data

Sampling

The first step in deciding the interview sample was performing a stakeholder analysis to identify key stakeholder groups (see Figure 8):

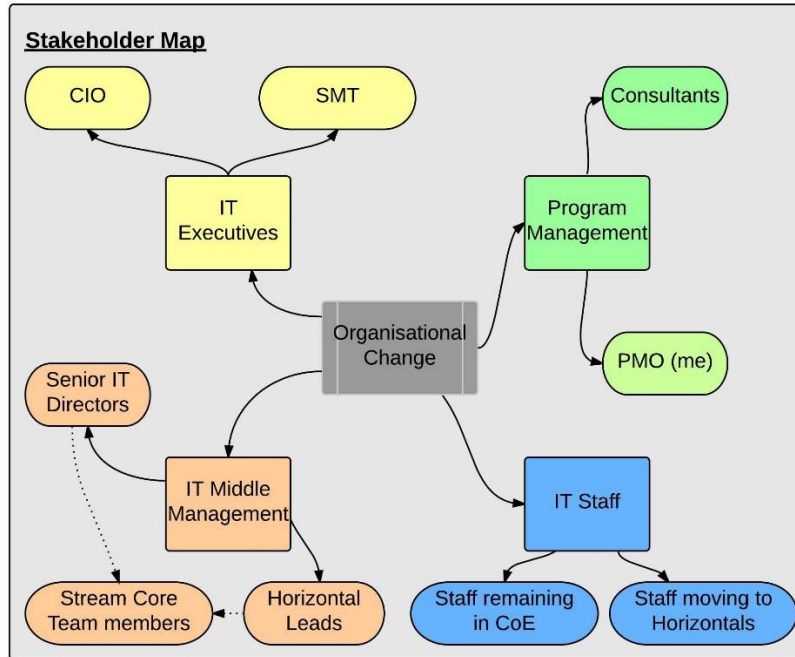


Figure 8: Stakeholder Map (Janes, 2015)

The key stakeholders analysed were from the following groups:

- **The Senior Management Team (SMT):** Direct reports to CIO
- **Senior IT Directors:** Direct reports to SMT
- **Horizontal Leads:** Leaders of new 'Horizontal' departments, also direct reports of SMT
- **Consultants:** Responsible for initial concept creation and guiding the process

The sample size, total population and rationale for selection are shown in Table 2:

Table 2: Study Sample

Stakeholder category	Impacted population	Sample size	Rationale
Senior Management Team (SMT)	5	3	Of the 8 total SMT, 5 were impacted by change. The sample included one member of the 'core' team ¹⁶
Senior IT Directors	22	5	22 Senior IT Directors were impacted by the change, of which 17 work locally. The sample included one member of the 'core' team
Horizontal Leads	3	3	Leads were appointed shortly prior to implementation phase. One was a member of the 'core' team
Consultants	2	1	The consultancy team created the concept
Totals:	32	12	

For each category the 'Population' comprised people impacted by the change, with the 'Sample' large enough to provide credibility while keeping within time-constraints. Preference was given to those working locally, to enable face to face interviews.

Each interviewee was known to me personally. This was important because, within the short span of the interview, we needed to establish sufficient trust to uncover their true feelings about the change, potentially involving criticism of senior management. To mitigate the risk of personal relationships colouring their responses, I avoided 'leading' questions and did not provide any value-judgements.

Each category was designed as a representative cross-section. The SMT and Director categories included one member of the 'core-team' that put the concept together, whose participation according to theory should engender support for the change (Coch & French, 1948; Lawrence, 1954). The sample included players who I was aware had previously voiced opposition to the change as well as those who had supported it, and those who had a major stake and had gained by the change as well as those who had lost (Crano, 1995; Sivacek & Crano, 1982; Regan & Fazio, 1977).

Interview preparation

A plan was prepared to track interview status (see Appendix 2): In total, twelve people were invited for semi-structured interviews, and all accepted. Interviews were planned for 30 minutes, a duration considered acceptable for non-work related meetings, and occurred between January and March 2015. Actual interview durations varied between 30 and 50 minutes.

¹⁶ The Core Team: A small group of Senior Directors, led by an SMT member and guided by a consultant, who were responsible for creating the original concept.

To provide consistency an interview script was used (see Appendix 3). The first section was common to all interviewees, followed by position-specific questions. During script preparation the rationale behind each set of questions was noted to anchor them in specific areas of theory.

Interviews

Where possible, interviews took place in 'neutral' locations (e.g. a café) to emphasise their unofficial nature and encourage frank answers. Except the first interview each was recorded¹⁷, for which permission was requested with assurance information would be anonymised.

The interviews were 'semi-structured'. Although scripts were generally followed, some answers spilled over to other areas, or opened interesting new avenues which were explored before returning to the script.

Post-interview transcripts and coding

After the interviews each recording was transcribed word-for-word, including key non-verbal information (pauses, laughs etc.). English was not the first language for any interviewee, however any idiomatic expressions were transcribed as spoken without correction¹⁸.

The transcripts were coded using a CAQDAS¹⁹ software package called MAXQDA. CAQDAS software helps getting "*closer to the data while also increasing the accuracy, transparency and overall rigour*" (Easterby-Smith, et al., 2012, p. 171).

Coding can be described as "*the pivotal link between collecting data and developing an emergent theory to explain these data*" (Charmaz, 2014, p. 113). The initial coding, derived from the Research Question and Objectives, was:

- Evidence of Resistance
- Factors contributing to resistance
- Intervention strategies used
- Effectiveness of intervention strategies

¹⁷ Technical problems prevented the first interview being recorded, which unfortunately reduced the opportunities for direct quotes from this interview. Learning from this experience, the recording equipment was double-checked prior to each subsequent interview to prevent a recurrence

¹⁸ See Appendix 4 for two example transcripts

¹⁹ CAQDAS: Computer Aided Qualitative Data Analysis software. These are software packages designed to aid analysis of qualitative data

As each transcript was coded, it revealed further sub-categories. As themes began to emerge, sub-categories were developed and grouped into logical clusters (Easterby-Smith, et al., 2012). The final list of coding categories is shown in Appendix 5.

In addition to coding in MAXQDA, key themes were summarised in an Excel table for easy comparison (see Appendix 9).

Secondary data

In addition to the primary data gathered through interviews, the results were compared with and triangulated against documents created during the change period, including:

Table 3: Overview of secondary data sources

Document Type	Audience	Secondary Data
Presentation	Change Leaders, SMT	Reduction of people and budget transferred to Horizontal departments
Presentation	SMT, CIO	Status report to SMT on Organisational Change
NPS²⁰ Surveys	SMT	Two in-house surveys taken 6 and 10 months after implementation
Force Field Analysis	Horizontal Leads	Force Field Analysis conducted shortly before implementation
Whiteboard	Horizontal Leads	Output from brainstorming session on perceived resistance and concerns
Presentation	SMT, CIO	Steering Board presentation discussing impact of organisational change on projects

Data analysis

Just gathering and coding quantitative data is not sufficient: *“to be useful, these data need to be analysed and the meanings understood”* (Saunders, et al., 2009, p. 480). The approach followed was as laid out by Robson (2011, p. 476):

- **“Familiarizing yourself with the data”**: The act of transcribing, involving listening to passages repeatedly, was a good first step towards data familiarisation
- **“Generating initial codes”**: Based on the literature and the research question, a framework was created and initial codes derived
- **“Identifying themes”**: As themes emerged, codes were grouped into logical constructs
- **“Constructing thematic networks”**: the analysis was mapped out to show linkages

²⁰ NPS: Net Promoter Score. People asked ‘How likely are you to recommend...’ and give rating from 0 – 10. Only scores of 9 & 10 are considered as ‘promoters’, whilst scores of 0-6 are considered ‘detractors’. 7 & 8 are considered ‘passive’. A negative score is considered bad, a positive score is considered good

- ***“Integration and interpretation”***: patterns within the data were described and summarised

With a qualitative approach, *“data collection and analysis are interrelated processes”* (Corbin & Strauss, 1990), so although these steps appear as a linear progression, in reality it was an iterative process with was no clear line between data collection, analysis and development of propositions (Kvale, 1996).

“Coding requires us to stop and ask analytic questions of the data we have gathered”, which in turn helps to modify the direction and focus of future interviews (Charmaz, 2014, p. 109). The data categorisation was an emergent process (Saunders, et al., 2009; Corbin & Strauss, 1990): some categories and sub-categories originally assumed important disappeared, with new patterns emerging during interviews and subsequent coding. Based on these, earlier transcripts were re-coded, and in some cases changes made to the interview questions to explore emergent themes with other interviewees (Strauss & Corbin, 2008). The working framework outlined in the Literature Review was expanded to show these sub-categories based on participant response:

Table 4: Data Analysis Framework (Janes, 2015)

Category	Key theories	Sub-categories
Communication and Participation	(Coch & French, 1948; Lawrence, 1954; Kotter, 1995)	• Clarity of communication • Degree of participation • Openness to accept feedback • Perception of Leadership commitment • Behaviour shown
Stake / Vested interest	(Crano, 1995; Sivacek & Crano, 1982; Corey, 1937; Regan & Fazio, 1977; Ajzen & Fishbein, 1980)	• Perception of winning or losing • Shift of power
Credibility of solution	(Lawrence, 1954; Pfeffer & Sutton, 2006; Kotter & Schlesinger, 2008; Rumelt, 1995)	• Buy-in to rationale behind vision • Credibility of Solution
Others	(Argyris & Schön, 1978; Aguirre & Alpern, 2014; Pfeffer & Sutton, 2006)	• Responsiveness to problems in process • Speed of the change • Change fatigue

Developing testable propositions

While relationships within the data were analysed, testable propositions were sought (Corbin & Strauss, 1990). These were challenged to consider alternative explanations since *“the association of one variable with another is not sufficient ground for inferring a causal or any other connection between them”* (Dey, 1993, p. 43).

Research Ethics²¹

It was important people felt able to openly discuss the change and how they felt it was conducted. This might imply criticisms of senior management's actions or potentially embarrassing admissions of lost social prestige or influence (Argyris, 1990). To ensure participants were aware of the research aims, did not suffer harm, and their privacy and confidentiality was preserved (Easterby-Smith, et al., 2012), the following steps were taken:

- **Anonymity:** In all contacts it was stressed this was private research and names would be anonymised. No list of interviewees was published, and emails were sent using a 'Blind Copy' to hide other recipients. In the Dissertation, names were replaced by codes ('SMT1' etc.)
- **Neutral location:** Most interviews were done off-premises. Where not possible, they were held where they could not be overheard
- **Recording:** Permission to record interviews was asked, with assurance recordings would only be used for transcriptions

Since each invitation made it clear the study was not for work purposes and no names would be used, I was not obliged to request official permission to talk to my colleagues.

Credibility of research findings: Validity and Bias

Considering Robson's (2011) four threats to reliability, the following mitigations were made:

- **Subject or participant error:** Interviews were held at different times of the day, and in different locations to avoid one single factor skewing results
- **Subject or participant bias:** Interviewees were encouraged to speak their honest feelings, with promises of anonymity. Interviews took place outside the working environment
- **Observer error:** Using a script helped ensure all relevant topics were covered. Use of audio-recording eliminated concerns about poor note-taking
- **Observer bias:** Care was taken to avoid 'leading' questions, or judgemental responses. Transcripts were triangulated against different types of secondary data.

Despite the above, some threats to the research validity should be considered:

- **History:** Since the change in question, there have been further changes. It is possible people's recollection of the case-study change were coloured by interpretations of later changes

²¹ For Ethics Checklist, see Appendix 8

- **Relationship bias:** Since I was part of the change team and later chaired the CAB²², it is possible interviewees downplayed any of my own shortcomings to avoid giving offence
- **Turnover:** Since the change occurred, several SMT members and Senior Directors left the company or moved overseas, thus depleting the available population.

²² CAB: Organisational Change Advisory Board

Chapter 4: Research findings and discussion

Although each interviewee witnessed the same change, each put different interpretations on events, behaviours and perceived intentions, confirming that *“meaning does not exist in its own rights; it is constructed by human beings as they interact and engage in interpretation”* (Robson, 2011, p. 24).

Was there resistance?

The question *“Was there resistance to change?”* had strong consensus, but not a unanimous answer. Ten of the twelve gave clear affirmations along the lines of *“Yes, yes...”*, *“Obviously... yes”*, *“Clear resistance”*. However, two outliers gave different feedback: *“I wouldn’t say resistance... more uncertainty”* (Consultant1) and *“either ventilation of doubt or questions for more information”* (SMT3).

Sometimes ‘outliers’ tell us something interesting about the data (Robson, 2011). In this instance, they highlighted two important points:

- **Definitions can differ:** There is no universal definition of resistance (Erwin & Garman, 2010). Although each interviewee saw the same facts, the outliers had different interpretations whether this constituted ‘resistance’. SMT3 said *“I wouldn’t call that resistance. I haven’t seen people on the barricades or things like this, so...”*
- **Expectations can differ:** The Horizontal leads expressed shock and betrayal at the behaviour shown. However, Consultant1, who had steered several reorganisations, saw the reactions as normal and expected: *“Uncertainty is part of [change]... It is very normal and human nature to feel unsafe... If you do reorganisation projects you need to know that and keep it into consideration...”* This agrees with Jaffe et al’s (1994) view that what is perceived as ‘resistance’ is a dynamic stage people move through as a natural part of change

Causes of resistance

The causes given fell into several categories:

Stake and vested interest:

One frequently noted cause was Stake and Vested Interest (Crano, 1995; Sivacek & Crano, 1982). For some, losing headcount and budget made them feel diminished as a person and in their position within the hierarchy (Lawrence, 1954), as typified by Snr.Dir5 comment: *“when you lose your ability to influence your area, in a sense you feel less powerful than what you were earlier. It’s funny – at the end it is only a small part of one company, but it is your kingdom – and you’re losing a part of it”*. Jick (2009) confirms negative reactions to change are often linked to losing control, influence, or pride.

There was also the perception “owning money and people shows importance” (Snr.Dir1). As evidence for this, Horizontal3 reported being asked by a Senior Director “*I am giving you Headcount and Budget. How does it help me to become a VP²³?*” Others, seeing the majority of their department transferred, feared for their careers, concerned this might lead to redundancy or demotion.

Stake and Vested Interest – measured by team size or budget – were not universal motivators. Snr.Dir2 claimed not to measure himself in this way. SMT2 said “*It was irrelevant to me... Looking at people and budget is something I never have cared about and will never care about, because that doesn’t define the importance of your role.*”

Others took a more altruistic approach. While aware they were losing people and budget, they felt organisational benefits outweighed any personal loss of status or power. Snr.Dir3 said “*it was clear that I would lose team members and certain responsibility with this change. Did I fear that? No. Because I was convinced a more horizontal approach was the right thing to do.*” Others saw the transfer positively, in that it freed them for more interesting work: “*Absolute benefit! I don’t like KSR²⁴*” (SMT3).

By cross-referencing interview response with records of planned and actual transfers, no direct correlation between Stake and level of resistance was found. Snr.Dir2 admitted resisting the change but hardly lost any resources or budget. Snr.Dir3 lost a considerable amount of his department yet supported the change.

Disagreement with solution:

As Kotter and Schlesinger (2008) noted, people may disagree on solutions to problems. Those closer to the front-line often feel they have better insights than executives, and resent accusations of resistance when they are trying to deliver work under the new structure (Lawrence, 1954).

Several interviewees understood the rationale but raised concerns the change diminished their ability to deliver projects successfully. Snr.Dir1 reported “*Still huge impact to project delivery from my side. Somehow need to compensate from different angles... just to compensate the gap of quality*”; Snr.Dir4 felt “*Right now, I have the feeling that I am limited. When things don’t go well, I have the burden of it and I can’t have the impact I had on correcting it.*”

²³ VP: Vice President

²⁴ KSR: ‘Keep System Running’, i.e. day to day operations to keep an existing system working. This support was handed over to the Horizontal responsible for Operations.

Opinion was split on the change's benefit to the organisation between the donors and recipients of resources. Each Senior Director expressed concerns whether the change had brought improvements, such as Snr.Dir1's observation *"from a cost perspective: Increasing costs – which really appeared. Trackable. Measurable. Seen. Happened."* Contrastingly, each Horizontal Lead expressed confidence their new organisations *had* delivered improvements: *"I think we totally help the projects"* (Horizontal2); *"The team gets great feedback.... Also from guys that had major concerns"* (Horizontal3); *"Look at some of the achievements we were able to do in 2014"* (Horizontal1).

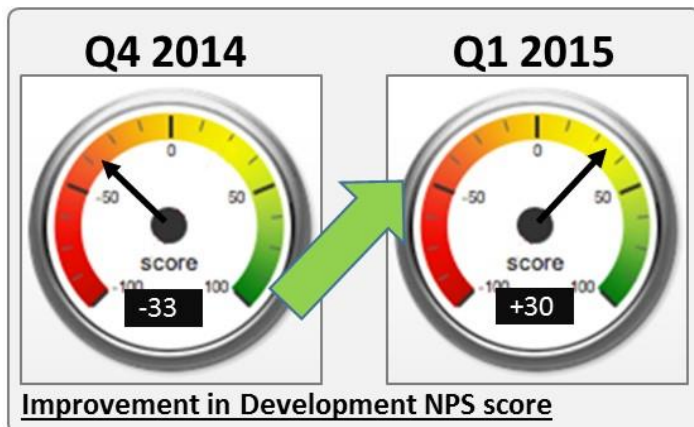


Figure 9: Improvement in Development NPS scores
initial, rather than current, service levels.

Two NPS²⁵ surveys, one done in Q4 2014 and the second in Q1 2015, showed considerable improvement in the acceptance of the Development Horizontal. During the first six months of the new organisation they increased the score from -33 to +30²⁶. This may indicate the Senior Directors' negative perceptions were still influenced by

Influence on Behaviour

During the implementation phase, each Horizontal lead reported behaviour they considered unacceptable. Horizontal1 described it as *"hiding information, misleading... found out they flat-out lied"*, and Horizontal2 felt *"people were lying to me in terms of effort [or]... just trying to hide things."* Some Senior Directors acknowledged this: *"No one is so dumb to openly resist – they all passively resist..."* (Snr.Dir2), tying in with Giangreco and Peccei's (2005) view that resistance was generally expressed passively. Piderit (2000, p. 784) remarks *"rarely do individuals... express such [resistant] attitudes in acts of dissent or protest, without considering the potential negative consequences for themselves"*

²⁵ NPS: Net Promoter Score. People asked 'How likely are you to recommend...' and give rating from 0 – 10. Only scores of 9 & 10 are considered as 'promoters', whilst scores of 0-6 are considered 'detractors'. 7 & 8 are considered 'passive'. A negative score is considered bad, a positive score is considered good

²⁶ See Appendix 6: Secondary Data for full scores

Not everyone interpreted the Senior Directors' behaviour in this way. Consultant1, who drove much of the change, felt most were supportive: *"IT Director level was the best. Always a level I like to work with because they are deep in the content... Lots of good inputs from the IT Directors."*

Intervention strategies and their effectiveness

Participation

One key differentiator in people's response to the change seems to be their level of *participation*. The Leadership (SMT1, SMT2, SMT3) and Core team²⁷ (SnrDir4, Horizontal3, Consultant1) each had a positive view of the change, mentioning their pride in having helped shape it and feeling genuine ownership and conviction it was the right direction for the organisation. Snr.Dir3 was *not* on the Core team, but had independently proposed a similar idea earlier and also supported the change. This accords well with Coch and French's findings (1948) that the perception of participation in a change increases likelihood of acceptance.

However, even those participating in the original *concept* were not blind to perceived problems in the *implementation*, which was driven by the Horizontal Leads after the core team finished the concept. In several cases, while still maintaining the concept was valid, they expressed concerns about details of implementation, for example Snr.Dir5 observed *"I believed it was the right way. But... when I looked at the extent of the documentation being mandated by the new organisation it starting worrying me a bit."*

SMT2 raised an interesting point why there was less resistance from the leadership (as well as the Core team) than the Senior Directors: *"For us, in the management team... we have been involved for more than three to four months in the discussions and shaping it, right? So we have been part of the change. We have been designing the change. So naturally, we kind of have a four month head start, and then potentially we are also a little bit not aware of... that we had a head start when we actually started to communicate it into the organisation."* This reflects one message from Ford and Ford (2009, p. 100) that *"By the time you're ready to implement a change program, you've probably had ample opportunity to process what it will mean for you... It's easy to forget that the change hasn't been similarly internalized by those who will be most affected by it."*

One negative aspect of participation was illustrated by an apparently genuine invitation to participate, which later became perceived as an attempt by management to quieten dissent. Five interviewees

²⁷ The Core Team: A small group of Senior Directors, led by an SMT member and guided by a consultant, who were responsible for creating the original concept.

served on the Organisational Change Advisory Board (CAB)²⁸. After meeting for some months, several members started expressing doubts *“to what extent were our discussions really shared with and reviewed by the SMT”* (Snr.Dir5). Snr.Dir2 *“did not feel SMT and [CIO] were paying attention...”* Snr.Dir1 recalled *“we got some negative feedback... that we would be against the change instead of we tried to make it a success and address the pain points.”*

There is evidence these misgivings were justified: SMT1 labelled it a *“complaint group”*, and Horizontal1 indicated the rationale behind the CAB was as a kind of ‘therapy’ for perceived troublemakers: *“there was a very deliberate attempt to bring all the noise-makers, the troublemakers together into this group... they were quite resistant, but they liked the limelight. They liked that their SMT nominated them, they were able to vent in front of bigger groups.”* As a result of lack of attendance by SMT members, the CAB disbanded itself and each member interviewed voiced disappointment in how it had turned out. This echoes Lawrence’s warning that *“participation will never work so long as it is treated as a device to get somebody else to do what you want him to”* (Lawrence, 1954, p. 56), and resulted in even stronger resistance when discovered.

Management intervention

After the Horizontal Leads informed the CIO of resistance, he assembled the middle-management



Figure 10: Slide used by CIO to address concerns

together, laying out his understanding of their visible and hidden concerns (see Figure 10, taken from the CIO’s presentation).

During this talk *“he basically said that ‘Either you are part of it, or you are out’. It was a very strong message – ‘You work with me, or you are not part of this organisation... We are not discussing it.*

We are not going back. It is final’... And

it was very clear” (Snr.Dir4). Several others reported this message as a turning point: *“the guys who have been resistant before now suddenly became a supporter... This was a key success criteria”* (Horizontal3). Snr.Dir2, having admitted resisting the change, accepted this firm approach, saying *“Democracy is not very efficient. At some time you need to push down some rules, especially if you run*

²⁸ CAB: Change Advisory Board had an espoused rationale as a body of senior, respected opinion-leaders with the mandate to debate and propose improvements to the change. See Appendix 7 for more information

an organisation – we are not a social welfare department. We are here to make business, earn our salaries...". This indicates management responses to the far right of Kotter and Schlesinger's (2008) continuum (see Figure 6) can also be effective.

Climate to express reservations

When interviewees were asked whether they felt able to voice reservations to the management, there was again a clear split between the SMT and Horizontal leads on the one hand, and the Senior Directors on the other.

Each Horizontal lead felt able to debate and challenge the change with the CIO, for example Horizontal2 said *"I always had the strong feeling that I can speak openly and he encouraged me... to do that."* Each SMT also confirmed they could openly debate the change with the CIO and raise concerns, although they knew where the limits were: *"with this kind of decision and these kind of topics with [CIO], you have to be very careful what you bring forward"* (SMT2).

Most Senior Directors expressed caution about voicing negative feedback *"I thought I need to be careful how I formulate my feedback, suggestions... Be very positive about what I said"* (Snr.Dir2). Even when they had legitimate concerns to raise, they felt constrained *"I didn't know how to feedback into the overall setup, because [CIO] was very clear that this was going to happen"* (Snr.Dir5). There was a sense of fear amongst the Senior Directors: *"[there was] even this rumour there is this list of people nagging about it, and known to [CIO]"* (Snr.Dir2).

Despite each SMT's declaration this was a joint decision, this message was not always received one level down: *"The person who was not receptive to the feedback was [CIO]... they officially communicated 'This is an SMT decision and I support it', but you could feel they didn't support it. Not full hearted support. Half-hearted support. I have the feeling that these type of decisions are taken by [CIO] and that if he strongly feels about it, there is no real balanced discussion in the SMT"* (Snr.Dir4). Although this message was expressed by several Senior Directors, SMT2 was adamant it was a shared decision with full commitment: *"It was a long process and long discussions... on facts and what we can do about it... and that's why if anybody else would say something differently I would be surprised."*

The purpose of asking whether there was a climate where critical concerns could be raised was to understand if there was evidence of 'Groupthink' (Janis, 1982). Although not all symptoms of

Groupthink were present²⁹, the change recipients did not feel they could openly discuss concerns. Where open discussion of the assumptions around a proposed change are not possible, this can lead to disconnects between change leaders and those impacted (Beer & Eisenstat, 1996). Also, the differing perspectives of people inside the decision-making body, contrasted with those observing from outside, illustrate the challenges of making accurate judgements.

Discussion

The Conceptual Framework presented at the end of the Literature Review proposed that, based on the literature, three main themes appear to influence perceived resistance to change:

Participation:

The findings support the theories that *true* participation in creating the solution leads to greater acceptance of it (Coch & French, 1948; Lawrence, 1954). Each SMT talked of their debates on the future organisation, and the Core Team showed pride in what they had accomplished.

Conversely, several Senior Directors *not* on the Core Team considered that there would have been wider acceptance – and a better solution – had participation been opened up. Even Core Team members expressed criticisms of the *implementation*, which they were not part of. This may imply that the benefits of participation as a strategy are limited to those parts of a change a person contributes to.

Where the offer to participate was *not* perceived as genuine, or an attempt at management manipulation, this was met by cynicism which may easily translate into resistance, as shown by feedback from members of the Organisational CAB.

Stake / Vested interest:

There is strong correlation between vested interests, and *attitude* translating to *behaviour* (Sivacek & Crano, 1982). The Horizontal Leads interpreted what they perceived as dishonest behaviour as a result of vested interests of those losing resources.

²⁹ Janis (1982, pp. 174-175) suggests the following symptoms of 'Groupthink':

- **Type 1: Overestimations of the group – its power and morality:** illusion of invulnerability; unquestioned belief in group's morality
- **Type 2: Closed-mindedness:** Discounting warnings through collective rationalisation; stereotyped views of opponents
- **Type 3: Pressures toward conformity:** Self-censorship of deviations from apparent consensus; shared illusion of unanimity; direct pressure on outliers who express arguments against stereotypes, illusions or commitments; self-appointed 'mindguards'

Those losing budget and headcount sometimes saw it as a traumatic experience, using words such as ‘diminished’, ‘my kingdom’ or ‘constrained’. Some openly discussed their own feelings of loss, while others only referred to observing this in others (Fink, et al., 1971; Bridges, 2003; Kübler-Ross, 1969). Giangreco and Peccei (2005) believed resisting losing position or status in the company should not be seen as the same as resisting the change itself.

Although the size of personal stake may significantly contribute to converting *attitude* to *resistance* (Regan & Fazio, 1977), this sample was inconclusive: the person relinquishing most headcounts still supported the change. This indicates other factors, such as participation, belief in the solution, or natural propensity to resist (Jick, 2009), may carry more weight than stake alone.

Agreement with solution:

Most discussion about personal resistance centred on criticism of the solution or its execution. Several authors mention how discussions or behaviours interpreted as ‘resistance’ may be motivated employees raising legitimate concerns, or highlighting risks to the organisation (Lawrence, 1954; Pfeffer & Sutton, 2006; Kotter, 1995).

To illustrate the impact these three factors had on resistant behaviour, the interviews were summarised, indicating firstly who had *agreed* with the solution, secondly who felt able to *participate* in forming the solution, and thirdly who had been a clear ‘winner’ from the change³⁰.

‘Winner’ was defined as gaining considerable influence or power, or being promoted. These were contrasted with evidence of personal resistant behaviour arising in the interviews. Such ‘evidence’ included openly admitting resistance, admitting holding back resources, or strongly

Code name	Evidence of resistant behaviour?	Agreed with Rationale / Solution?	Participated in solution?	Clear ‘winner’ from change?
SMT1	No	Yes	Core / SMT	Winner
SMT2	No	Yes	SMT	
SMT3	Lukewarm	Had doubts	SMT	
Snr.Dir1	Yes	No	No	
Snr.Dir2	Yes	No	No	
Snr.Dir3	No	Yes	No	
Snr.Dir4	Yes	No	No	
Snr.Dir5	Partly	Yes	Core	
Horizontal1	No	Yes	No	Winner
Horizontal2	No	Saw both sides	No	Winner
Horizontal3	No	Yes	Core	Winner
Consultant1	n/a	Yes	Core	

Figure 11: Correlation between Resistant Behaviour and Agreement / Participation / Winning (Janes, 2015)

worded criticism of the way the change had been conducted. As seen in Figure 11, there appears a

³⁰ See Appendix 9 for full summary spreadsheet

correlation between resistant behaviour and disagreement with the solution *and* exclusion from participation. Likewise, lack of resistance correlates with agreement with solution, participation, and/or being a 'winner'.

Model for likelihood of resistant attitude and behaviour

Based on the conceptual framework presented in the Literature Review and the analysis of the results shown above, the model shown in Figure 12 was created:

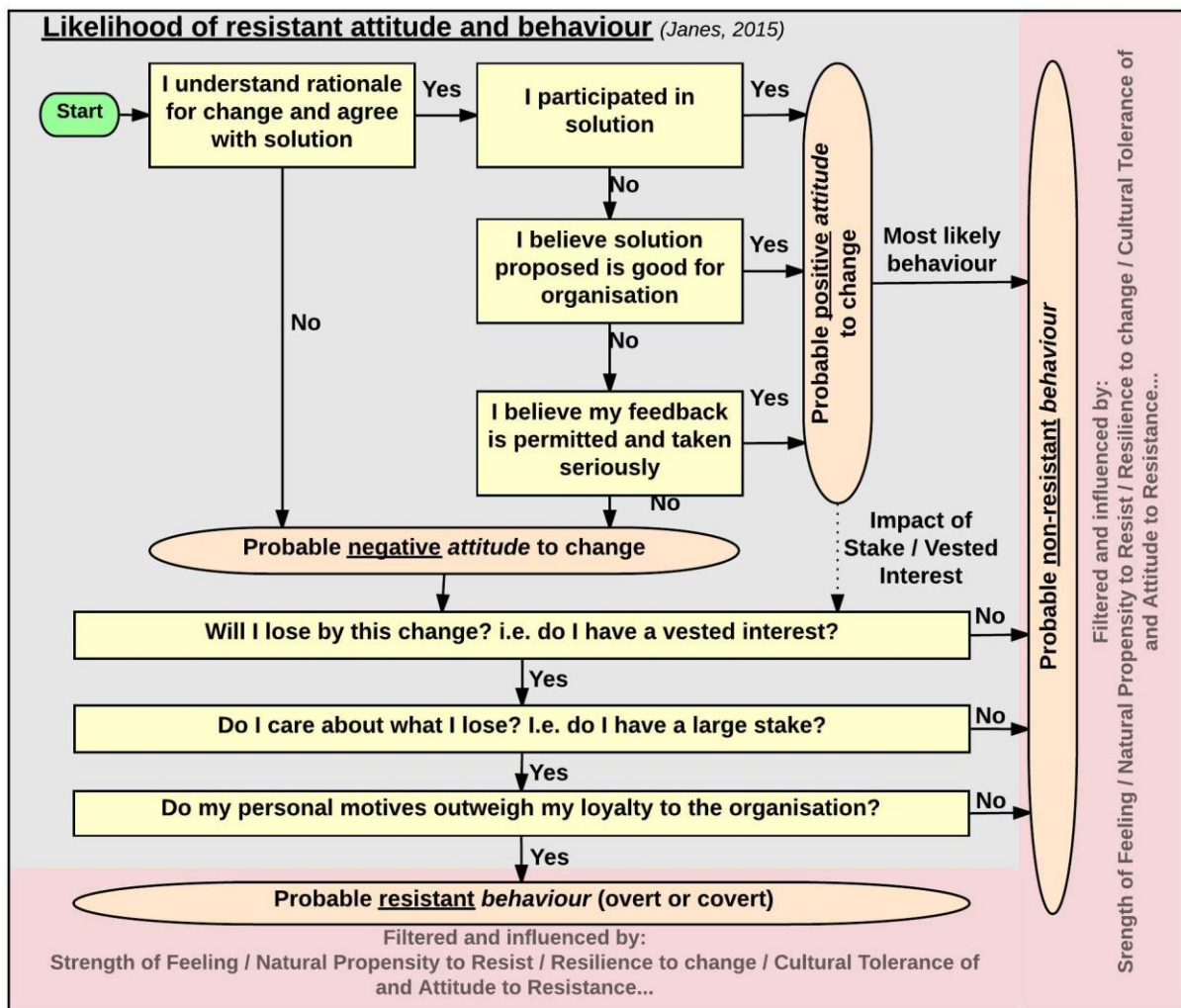


Figure 12: Model showing likelihood of resistant attitude and behaviour (Janes, 2015)

This firstly maps the likelihood of a person having positive or negative *attitudes* towards the change:

- Are the rationale and solution agreed with? If not, there is a strong likelihood of negative reaction (Lawrence, 1954)
- If able to participate, believe solution good for organisation generally, and feel feedback taken seriously, their attitude will likely be positive (Oreg, 2006)

Whether positive *attitudes* will translate into non-resistant *behaviour* is influenced by the strength of the Vested Interest and size of the Stake, as well as the tension between personal feelings and loyalty to the organisation (Sivacek & Crano, 1982; Corey, 1937; Regan & Fazio, 1977).

Predicting behaviour is rarely straightforward. The pink areas around the 'behaviour' bubbles indicate there are other factors that can influence behaviour of an individual in given circumstances (Fazio & Roskos-Ewoldsen, 2005). These include their innate resilience to change (Jick, 2009), the strength of their attitudes (Crano, 1995), and the degree resistance is tolerated within the organisational culture (Deal & Kennedy, 1982; Ajzen & Fishbein, 1980; Fazio & Roskos-Ewoldsen, 2005).

Chapter 5: Conclusions and recommendations

Conclusions

Referring back to the Research Objectives, the conclusions of this Dissertation are:

Whether resistance occurred:

Ten out of twelve interviewees agreed resistance had occurred.

However, the key contribution of the 'outliers' was to demonstrate that, without a universal definition of resistance (Erwin & Garman, 2010), it was open to interpretation whether resistant behaviour shown was really *resistance* or normal behaviour people must pass through before accepting such an organisational change (Jaffe, et al., 1994).

Identify the causes:

Stake and Vested Interest both contributed to resistant behaviour. The majority of interviewees claimed these as major causes of resistance, and reasons for the erosion of headcount and budget transferred to the Horizontals. Interestingly, while seeing this behaviour in others, a significant number of interviewees claimed not to be personally affected by losing their resources. This may indicate that appearing concerned about one's own interests in a change is not socially acceptable (Argyris, 1990; Keller & Aiken, 2008).

Another contributor was Disagreement with Solution – in most cases the objection was to the way the change was *implemented* or its *timing* rather than the fundamental concept. When combined with feeling excluded from solution creation this led to strong feelings of resentment, manifesting as resistant behaviour.

Intervention Strategies used and their effectiveness:

Based on the literature and primary research, the most effective strategy to respond to resistance appears to be Participation in the solution. However, this was only effective for those parts of the change people personally participated in. Even core team members, who developed the concept, later criticised the implementation – which they were not part of. Conversely, the Horizontal leads, who planned the implementation, were universally supportive of the way the new organisation was operating.

Participation was successful only while it was perceived genuine. Where there was an offer to contribute to the solution, but staff perceived it as not serious or that the feedback was not received, there was a strong negative backlash, echoing Lawrence (1954).

The other effective strategy was the CIO's unambiguous message confirming he understood the concerns, but career development would be impacted was by blocking the change. This move to the

right-hand side of Kotter and Schlesinger's (2008) continuum was welcomed, indicating there are times strong leadership is the appropriate response.

Although receiving criticism by management for 'resistant behaviour', some concerns voiced by the CAB about the proposed solution have since been accepted as being valid, and the organisation and processes changed as a result. One example was the 10% mark-up on all consultancy fees used to finance the overhead of the Horizontal departments³¹. This was highly controversial, and due to recommendations from the CAB and other mediums, the mark-up is now being abolished.

Summary

In summary, the three key influencers of 'Communication and Participation', 'Stake and Vested Interest' and 'Credibility of Solution' proposed in the conceptual framework (see Table 1) were supported by the research findings to be contributors to resistant behaviour. A leader's response to resistant behaviour needs to be influenced by the needs of the situation. Sometimes, it is necessary to enable participation and accompany people through the change. Other times, the situation calls for an unequivocal message.

Limitations of the study

The position I held within the change could affect my own perception of events. Even studying the available literature on a topic may influence perceptions in terms of theoretical models instead of what really happened. To mitigate these biases, as wide a selection of interviewees as feasible was selected, and their feedback was triangulated with secondary data. Additionally, a positive effort was made to seek out alternative viewpoints in the data.

Any conclusions reached are only completely relevant to this given change. Applying these strategies in a different context may produce different results.

This research relies upon subjective impressions of the stakeholders, as interpreted by myself. An assumption was made that the sample represented the whole population – if this assumption was incorrect, conclusions drawn may be invalid.

Recommendations to management

The following recommendations can be made to increase the chances of success for future changes:

³¹ The 10% 'Mark-Up' was one of the most controversial elements of the change, introduced at a late stage during the implementation (see also Figure 10). To fund the management and systems overhead of the Horizontal Departments, a 10% mark-up was placed on all Service Contracts, under the assumption that increased synergies would more than compensate. Some Senior Directors claimed they saw their costs rising as a result.

Ensure Participation

Maximise participation in the change where possible. Even if a small group is used for the initial proposal, open their findings to – moderated – debate by a larger audience. Be ready to accept modifications, accepting often those closer to the work have good ideas how it can be improved.

- **Risks:** Participation can extend the change timelines and the end result may be very different than anticipated
- **Mitigations:** Strictly moderate and time-box discussions, agreeing parameters and clear principles what the change must achieve

Clarify expectations, address concerns

Be clear on management expectations, and ensure to expose and clearly address genuine fears and concerns.

- **Risks:** Whilst effective in this case, this approach must be used with care to avoid moving to an autocratic leadership style that discourages participation and debate, with the risk poor quality solutions might not get effectively challenged.
- **Mitigations:** Encourage a culture in which feedback and concerns are listened to with respect. If, after listening to concerns, the decision is made to continue anyway, ensure dissenters do not perceive they will be penalised for raising concerns.

Recommendations for future research

Before the model indicating the likeliness of resistant attitudes and behaviour (Figure 12) can be accepted as a universal model, further research is needed to test and potentially refine it.

Ideally, this would include controlled experiments with clearly defined variables and a control group to verify causality. However, there are practical difficulties with doing this in a live environment, and doing so in laboratory conditions would be problematic since in an artificial environment the question of stake and the social aspects of the change are less likely to be keenly felt by the participants.

A better approach would be to expand the scope of the survey to include larger sample sizes taken across multiple organisations and changes. To cope with the higher sample size, questionnaires could be constructed to get feedback on the key questions in the model.

Chapter 6: Reflection on dissertation process

As Argyris (2002) pointed out, it is possible to be blind to one's own behaviour: experience alone will not teach anything if we do not learn from it. Before this course can trigger real changes in my life, I need to reflect on what I have learned.

Several authors developed frameworks to aid reflective thinking. The reflections presented here are what Schön (1983) would call 'Reflections *on* action', whereby a reflective practitioner, looking back

over what has passed, would consider how to adapt their future actions.

Lewin (1951) proposed an 'Experiential Learning Method' which was adapted by Kolb et al (1984) for his 'Learning Cycle'. This in turn was built on by Gibbs (1988), whose popular 'Reflective Cycle' is used as the framework for reflecting on the Dissertation process.

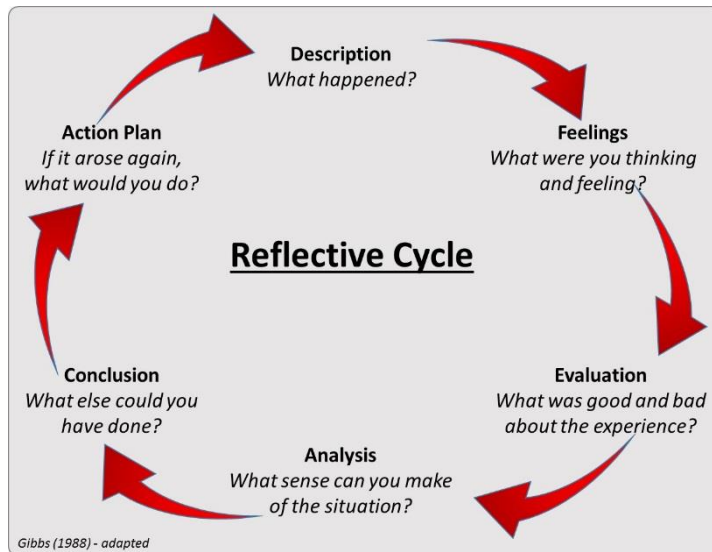


Figure 13: Gibbs (1988) Reflective Cycle (adapted)

Description

At the beginning of my Dissertation journey I considered resistance as something 'negative' which needed to be overcome for a successful change. However, as I researched the subject I found I needed to re-examine my opinion, coming to consider 'resistance' instead a natural phenomenon of a change, which while always needing to be taken seriously and addressed, does not need to be crushed.

Having been involved during the concept phase of this change, I was aware some colleagues were dissatisfied. My motivation was to examine what had happened, and try to understand their different viewpoints. Reading the literature about reactions to traumatic change and the social aspects of change helped me understand their different reactions.

Feelings

The opening weeks of the Dissertation were the hardest. For the first time during the MALIC course, I had taken a break and lost the rhythm and discipline of studying, and it took several weeks before I re-discovered the joy of learning. Another challenge was, since choosing my topic, another reorganisation had changed my role and I was working through my own emotional reactions to this.

Although I considered changing the topic I was later glad I kept to my original plan since I found echoes of my own situation in many of the works I studied.

I was initially concerned whether people would be willing to open up about a potentially sensitive topic. However, I was impressed by my colleagues' openness. They were universally encouraging about my studies, and eager to relate their recollections. Possibly some found it therapeutic to finally discuss their feelings. I found it fascinating how people could witness the same events, but draw different conclusions.

Evaluation

Keeping a diary to record my feelings and key events along the journey helped me recollect the changes and stages along the way.

Highlights for me were researching Literature indicating *why* things might work as they do, for example insights into Participation and Vested Interest, and the relationships between Attitude and Behaviour. These will continue to influence my working relationships for years to come. Another learning was that different people could legitimately, without self-deception, hold differing views on actions and behaviours shown.

Analysis

As I started the Dissertation, an important success criteria was developing a routine to sit at the PC every day whether I wanted to or not, to get *something* down on the blank page. The real challenge was making a start – after that, things began to flow.

During the course of the process, one obstacle I needed to overcome was my own resistance to research methodology, a topic I initially perceived as unnecessarily obscure. However, I also felt a sense of accomplishment when, after finding accessible reference works, I felt able to understand it.

While listening to recordings of the first interviews I was surprised hearing myself interrupt people in mid-flow – behaviour I had been unaware of. This caused me to reflect on my manner during subsequent interviews, and generally in meetings. Now, I attempt to listen to myself and actively focus on giving other people more space to finish what they were saying.

Conclusion

As I come to the end of this Dissertation, I am grateful for the new understanding I have gained of my business environment, especially the complex forces at work affecting attitude and behaviour during organisational change. I have also come to realise that there are many different responses management can take, and each can be potentially appropriate in given circumstances.

For the research process itself, one learning I take is the importance of finalising the research methodology before starting data gathering. In my case, having held half the interviews before submitting the draft Methodology, I had already committed myself to one approach. Had I received feedback this approach was flawed, I risked having to redo some or all of the research.

I under-estimated how time-consuming the interviews would be: each consumed between four and five hours for conducting, transcribing and coding. Holding twelve interviews was a considerable time commitment. Next time, I would integrate this better into my planning.

Action plan

Key learnings I take away from this Dissertation are understanding there are multiple aspects to each change situation. Just because I, or another colleague, holds one view does not mean it is the only viewpoint. I will endeavour to be open, and prepared to listen to other opinions. I will also try to make better use of my network, exploring their experience and discussing alternative approaches to the task.

As I end the process, there were many avenues I found in the Literature I would like to explore more deeply. The MALIC course has left me with a thirst to study further, potentially to PhD level.

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Appendices

Appendix 1: Overview of Case-Study organisation

The case study organisation is the IT department of a well-known German Sporting Goods company.

Although its roots are in Germany, the company's highly international workforce represents over 70 nationalities, and uses English as the main business language. The IT department that is the subject of this dissertation numbers over 1,000 internal employees, plus external consultants and service providers. The majority of the staff are located in Germany, but there are also significant hubs in the US and Asia. The cultural diversity of the organisation was represented in the interview sample, with four different nationalities represented, and none of the interviewees had English as a first language.

Before the case-study change was implemented, the IT department consisted of several 'Centres of Excellence' (CoE). Each CoE mirrored a corresponding business department such as Sales, Marketing, etc. Every CoE comprised of several departments, with each supporting a different business area. Every CoE performed all IT functions, such as project management, development, testing and ongoing support.

Organisationally, the IT department was set up as follows: It was headed by the CIO, or Chief Information Officer. Reporting into him were his SMT, or Senior Management Team, who are Vice Presidents or Senior Vice Presidents. Each CoE (Centre of Excellence) is headed by one member of the SMT. Each department within a CoE is headed by a Senior Director – a mid-level management position, reporting into their respective SMT member.

The change described in this case study moved all the resources (internal headcounts, external consultants and budget for external service providers) that were dedicated to Development, Testing and On-going operations and moved them to newly created departments that served the whole of IT. The heads of these new 'Horizontal' departments were at the same hierarchical level as the Senior Directors in charge of the CoEs.

Appendix 2: Interview plan

This shows the interview plan used to track progress and status of the interviews. Real names were replaced by code names to preserve anonymity. The interviewees who were part of the initial 'core team' that put the organisation concept together are noted

Table 5: Dissertation Interview Plan

Dissertation interview plan								
Category	Code name	Core Team member?	email sent	Reply date	Agreed?	Invitation sent	Interview planned	Interview Done
SMT	SMT1	Yes	09-Jan-15	15-Jan-15	Yes	20-Jan-15	22-Jan-15	22-Jan-15
SMT	SMT2		08-Feb-15	09-Feb-15	Yes	10-Feb-15	05-Mar-15	05-Mar-15
SMT	SMT3		09-Jan-15	09-Jan-15	Yes	08-Feb-15	17-Feb-15	17-Feb-15
Snr IT Director	Snr.Dir1		09-Jan-15	12-Jan-15	Yes	25-Jan-15	27-Jan-15	27-Jan-15
Snr IT Director	Snr.Dir2		09-Jan-15	19-Jan-15	Yes	08-Feb-15	13-Feb-15	13-Feb-15
Snr IT Director	Snr.Dir3		09-Jan-15	09-Jan-15	Yes	30-Jan-15	02-Feb-15	02-Feb-15
Snr IT Director	Snr.Dir3		09-Jan-15	09-Jan-15	Yes	25-Jan-15	11-Feb-15	11-Feb-15
Snr IT Director	Snr.Dir4	Yes	09-Jan-15	11-Jan-15	Yes	25-Jan-15	28-Jan-15	28-Jan-15
Horizontal Lead	Horizontal1		09-Jan-15	13-Jan-15	Yes	25-Jan-15	06-Feb-15	06-Feb-15
Horizontal Lead	Horizontal2		09-Jan-15	12-Jan-15	Yes	08-Feb-15	23-Feb-15	23-Feb-15
Horizontal Lead	Horizontal3	Yes	08-Feb-15	02-Mar-15	Yes	03-Mar-15	13-Mar-13	13-Mar-15
Consultant	Consultant1	Yes	09-Jan-15	11-Jan-15	Yes	27-Jan-15	05-Feb-15	05-Feb-15

Appendix 3: Semi-Structured Interview Script

The following script was used for each of the semi-structured interviews. In order to ensure the same information was given, the opening remarks were noted as a checklist. In the original script, large areas of white space were left between each question so that field-notes could be taken as a backup to the audio recording

Dissertation: The effectiveness of Intervention Strategies in addressing resistance to change

Steven Janes

Name: _____ Date: _____ Length: _____

Opening remarks:

- I've asked for this interview to get your own, personal views on the April 2014 Organisational Change, when we introduced the 'Horizontal' organisations
- I'm looking for your honest feelings and recollections – not the 'party line'
- My Dissertation is looking into the change process generally, and specifically exploring whether:
 - There was resistance to the change
 - If so, what the causes were
 - The Management and change leader's response, and how effective it was
- This is my own private work – not sponsored by the company. The company name and names of all interview participants will be anonymised, and the feedback will be aggregated. Individual quotations may be cited, but without any reference to who they came from

Interview questions

- High level questions:
 - Did you feel there was resistance to this change?
 - Did this come from yourself, or others?
 - If so, what do you think the causes were?
 - How did Management respond?
 - Do you think their response was effective?
- When the change was announced, did you feel you understood the rationale behind it fully?
 - Did more clarity come along during the course of the change process?
 - Did you agree with the rationale at the time?
 - ➔ Communication
 - ➔ Different opinions on the solution
- Did you feel yourself to be part of the decision making process for the organisation change?

- Were you asked for your feedback?
- Did you feel able to express any reservations to management about the change?
- Did you feel your feedback was taken seriously?

- ➔ Participation, Groupthink

- When you first heard about it, did you feel the change would be to your personal benefit? Or that you would lose by it? Or that it was irrelevant to you?
 - In what ways?
 - What about on the social / status level? Did it make any difference to you (e.g. ego etc.)?
 - How about now – do you feel it was a positive or negative factor for yourself?
 - What was your emotional response to the pressure at this time to comply with the change?
 - ➔ Stake, Vested interest

- At the time, did you have any concerns about being able to deliver your projects under the new organisation?
 - What about now? Do you still have concerns about being able to deliver your projects? *Were* these concerns valid?
 - ➔ Concerns for organisation's wellbeing

- During the time between the Concept phase and final implementation, there was a considerable reduction in the number of people / amount of budget to be moved from CoEs to Horizontals.
 - Why do you think that was?
 - To what extent was it caused by the process ('wrong' initial figures), or resistance?
 - Do you feel the change in change leadership between concept and implementation phase played a role?

Role specific questions:

SMT:

- To what extent were you kept informed of the change as it was developed?
 - Did you feel able to participate and influence it?
- Do you feel there was a real commitment to the change from the SMT?
 - How about yourself?
- How did the SMT respond to concerns and criticisms raised by their teams?
 - Did you feel Jan was receptive to hearing these concerns?
- Did you feel the organisation was ready for this change?

Senior IT Director:

- At the time, did you have any concern about the difference this change would make to your career development or your standing in the company?
- What difference did you feel the change would make to the effectiveness of your department and of IT in particular?
- Do you feel that either senior management or the Horizontal leads were effective in communicating the change, and addressing any of your concerns?
- Did you feel you were able to influence the change to take account of any concerns?

Horizontal Head:

- During the time leading up to the implementation of the change, did you feel you had the full support from other parts of IT?
 - Where you felt resistance or lack of support, to what extent do you feel this was justified?
 - What did you do to address this?
 - How effective were these measures?
- Do you feel that the new organisation and processes, as they were implemented, were truly a net benefit to the organisation?
 - How do you think others in the organisation perceive it? If different, how do you account for the difference?
- If you were to do this again, would you make any changes (participation, communication, processes, training, timing....)?

Consulting company:

- From what you have observed and heard about, do you think the change was as successful as it could have been? Why is that?
- If you were to do this again, would you make any changes (participation, communication, processes, training, timing....)? Would this reduce resistance? Increase success?
- To what extent do you think the change was supported by the:
 - Senior Management?
 - IT Directors?
 - Do'ers?
- Do you feel the change in leadership between the concept and implementation phase had any impact on the acceptance of the change?

Appendix 4: Example Transcripts

Following are two example transcripts presented as a sample of the twelve interviews. These were selected to show the different viewpoints expressed. The other ten transcripts are available on request.

1. Transcript from SMT member:

Name: [SMT2] _____ Date: 5 March 2015 Length: 30

Interview questions

Did you feel there was resistance to this change?

Yes

I would say 'naturally'. The resistance is always with change, because you don't KNOW what is the personal impact to yourself, right? So, what will change for ME?

Potentially feeling comfortable, with what I'm doing today... not knowing what this will look like tomorrow.

Fear of change, insecurity

Did this come from yourself, or others?

They don't come as 'I fear change'... they come as 'Does this make sense?', 'I don't understand it', 'Why do we do this?', erm... 'It worked well before', 'It creates more work'

At the end of the day, looking at the change curve itself, the first step is *denial*: 'I am sure it will take another half year until it comes'.

You hear this from people across all levels

What do you think the causes were?

The cause for me is clear. For *us*, in the management team, it is not so much of a denial of change or a fear of change... It is because we have been *involved* for more than three to four months in the discussions and shaping it, right? So we have been *part* of the change. We have been *designing* the change. So naturally, we kind of have a four month head start, and then potentially we are also a little bit not aware of... that we had a head start when we actually started to communicate it into the organisation. So, we were much longer in the thought process of accepting and defining the change than actually all the people that have been impacted.

So, you started that emotional journey...

Much earlier, yeah...

I personally was very vocal in saying it was not the right time for the organisation. I didn't feel that our *processes* around the elements of what the Horizontal's tasks would *be* were kind of mature enough to give it into the Horizontal organisations.

I didn't think it was a bad idea... I thought, let's fix some of the issues we are having today in a Change Management process and an Incident Management process... and streamline those, before we actually start putting them into Horizontal organisations and staffing it from various teams with different processes

And was this accepted?

It was discussed... but again, I don't need *alignment* and the same opinion... I just need the commitment to drive it later. So I was heard, it was discussed, but it was decided to move quicker. And in the Post Mortem view, I also think it is better, because we could have continued another year, or another two years discussing how we mature the processes and then do it, which potentially we accelerated by just doing the change and giving the accountability to individuals to fix it.

How did Management respond?

I mean, conversations, right? Transparency, opportunities, what's in it for *you*, why do we do this... So, more or less a kind of explaining the reason for the decision and what we believe the benefits will be.

Do you think their response was effective?

I think those people I talked to, I would say at least they better understood why we are doing it. And why we are doing it the way we did it. And for sure, this will help to drive you into a different state of starting to *explore* instead of *deny* the change.

And that's the phase where you kind of start *looking* at the things, towards 'what's in it for *me*' instead of saying 'this is shit'. And denying... 'this change will not happen, it doesn't make sense'.

So, you think this was effective?

It *is* effective... And again, I still believe there are *still* people in the organisation which resist, but again with an organisation of more than a thousand people, you will ever have these individuals. The question is how *long* do you allow them to be part of the 'bus' that you are driving, but this is another discussion, I think.

When the change was announced, did you feel you understood the rationale behind it fully?

Yes, I understood it. And again I think the organisational change was not just a result of 'let's do some organisational change', but a more long time discussions around qualitative issues we are having, and more and more finding out the quality issues we are having, are related to missing capabilities.

And then the discussion started – the missing capabilities: Build them individually in the functions? Or build them horizontally, with regards to what we actually have done.

So, really quality and building up internal knowledge as the core reason we are doing this? Not primarily a cost saving thing?

<shakes head>

Did rationale change, or consistent all the way through?

No, I think it was consistent all the way through. But of course you look also at the efficiencies, right? But if I look into how many headcounts we have invested now, that that *new*, I think that is a clear signal of the approach of creating *internal quality increase*, but *of course* it has led to external spend optimisation, which again is an efficiency.

Did you agree with the rationale at the time?

Yep

Did you feel yourself to be part of the decision making process for the organisation change?

Yes. If not, I would need to find a new job, right? <smile>

Were you asked for your feedback?

Sure. I mean, it was on the agenda of every SMT call, right? So it wasn't just something where we said 'let's do it'. It was one of the key elements of discussion for more than six months in the SMT, right...

Did you feel able to express any reservations to management about the change?

Yes

Or was there a climate where it was career-limiting to say anything?

No, not at all

So, you could have open and honest discussion?

Yes

Did you feel your feedback was taken seriously?

Yes

When you first heard about it, did you feel the change would be to your personal benefit? Or that you would lose by it? Or that it was irrelevant to you?

It was irrelevant for me.

Because – what do you do in a change? You transfer responsibilities, or people, or budget... and looking at people and budget is something I never have cared about and will never care about, because that doesn't define the importance of your role, and second 'losing', I didn't care either, because the interesting stuff is somewhere else happening... Not in Development, not in Application Management. That is maintaining a status-quo, it is not building, you know, the strategy, the relationships, the 'NEW' for the company. And whether I source the development piece from Infosys, or whether there is somebody in between, what's the difference? I mean, if they agree... If the *outcome* is that I get a higher quality coding back, right?

What about on the social / status level? Did it make any difference to you (e.g. ego etc.)?

But the ego is not defined by the people or number of budget. And for sure it is not defined in that specific change it is not defined by who is doing the development for me. With regard to is it Infosys or is it somebody internal. It is irrelevant... In *that* specific case.

What was your emotional response to the pressure at this time to comply with the change?

It wasn't the maturity level of the *organisation*, it was the maturity level of the *processes*

I think... and that is a general approach in IT, if you now change, be quick and get it implemented, right? That is a difference for instance from the change that was announced for the Brand organisation. Which almost took a *year* to communicate the second line.

I feel much better... Do it quick, it hurts, but you are over it faster, right? So, I am not a fan of dragging changes for too long.

And by the way, it *was* a staggered approach, right? If you look at application management and the development piece, we had a development horizontal for ABAP, we had already application management. It *was* a kind of staggered approach. And we are *still* transitioning today pieces into the horizontals... But it was very clear with regard to the organisational setup and the accountabilities and responsibilities who is doing what. What actually moves at what point in time was not the deciding factor.

At the time, did you have any concerns about being able to deliver your projects under the new organisation?

No

What about now? Do you still have concerns about being able to deliver your projects? *Were* these concerns valid?

I don't think *because*.... I mean we still have issues with our partners... System Excellence is a good example, but this is not related to the Horizontal. It is related to delayed involvement, bad briefing, kind of 'blinded' 'let's just do it' from our partners, without being clear about what it actually *is*... So.... I would not see that related to Horizontals... The same shit would have happened if you would have managed the vendor out of System Excellence directly, right? I'm not seeing that related to the change

So, you can't say that we had quality issues as a result of moving to the new organisation?

No

During the time between the Concept phase and final implementation, there was a considerable reduction in the number of people / amount of budget to be moved from CoEs to Horizontals. Why do you think that was?

<laughs> It is when theory meets reality, right? <laugh>

This is when you look at numbers only, and then you come to the reality, right? This is natural

So, not a problem with the process, not a sign of resistance, just something you would expect?

Of course, there might have been a little bit of resistance here and there, and people started down playing what people *actually* do... Of course there was kind of a game in it...

But at the end of the day it is natural when you do a theoretical, number based exercise then you hit the reality, by simplifying your model that the reality is much more complex... That's clear, right?

I mean again, it is the same with this 'Braveheart' initiative we had, right? You look at a number of 20,000 people, you draft an organisational kind of charter, and you say 'OK, we need to get rid of twelve VPs' because, first from a calculation perspective that makes sense.

When you hit reality you go, 'Oh, actually I need this VP because the Legal team is so small it doesn't calculate up to a VP, but we actually need the position being a VP... The same for Investor Relations, right? So all of a sudden you figure out that what you theoretically calculate in reality sometimes doesn't make any sense, right? So it is just natural.

Do you feel the change in change leadership between concept and implementation phase played a role?

Yes, that *might* have had an impact... Because naturally as an external you are much stronger in putting things through than when you are an internal doing it.

So, I am not accounting the erosion fully to that fact, but I would account some of the effects we have seen.

To what extent were you kept informed of the change as it was developed?

Fully

Did you feel able to participate and influence it?

Not a problem

Do you feel there was a real commitment to the change from the SMT?

No... it was a joint process, right? It wasn't 'Oh, by the way, my dear colleagues, here I have an idea which we will implement tomorrow, have fun!'. As I explained before, it was a long process, which didn't *start* with 'why don't we create horizontals', but started with 'How do we improve the quality of our deliverables?' ... and then we came into that model

It was a long process and long discussions... on *facts* and what we can do about it... and that's why if anybody else would say something differently I would be surprised.

How about yourself?

Yep

How did the SMT respond to concerns and criticisms raised by their teams?

Of course they were voicing concerns with regards to achieving their targets... Which is also natural. 'If we do this now, can't we do this later?' 'It doesn't fit at this point in time, but I'm committed to do it in half a year' and so of course you get all of this...

So, were you able to bring them along?

Just said 'shut up'! <laugh>

No... I would look into it. We had a good exchange of ambition...

Did you feel [CIO] was receptive to hearing these concerns?

Yes... It was a six month process. We had some healthy debate, but that was part of the Leadership Journey

Did you feel the organisation was ready for this change?

As a Post Mortem, it was the right pace... But that was because we kept it flexible...

2. Transcript from Senior Director:

Name: [Snr.Dir2] Date: 13 Feb 2015 Length: 56

Interview questions

Did you feel there was resistance to this change?

Yes.

I can start with myself. When I first heard it the concept was sold that we were going into the industrial age. When I looked at it, I thought 'are we back in the 90s now?' Because, while we were talking about industrialise and reap the benefits of it, the second sentence was that we wanted to be flexible, agile, faster, and and and... But with all this rigid processes and handovers you have with those, you have everything but not...

To me it appeared as some kind of a 'V' model at first, when I tried to dig deeper into it because certain things were not clear, I had a big discussion with [SMT1] about it in a management team meeting, I was asked if I was against this concept we are trying to push. I said I am not openly against it, but I think although we can do it, it doesn't reflect the benefits to me, so I don't get it.

On the other hand, I think the time is not right. I was told that after 9 months we should be ready with this, but when looking at what has been presented to me, there are a lot of things unclear that tells me you are not ready yet, and you are just pushing me for the sake of it.

Of course 9 months is a long time to do a change, but I think we missed a couple of important steps with getting people on boarded with it, and now we are pushing it because we set ourselves a date.

You could see key people were missing in the organisation, organisations were just ramping up, documents were in draft form, so even in the final presentation a lot of documents still said 'draft'.

There were a lot of questions for certain documents – especially around systems design spec documents, where I literally said to Dario that he was asking the CoEs to do 50% of the work that he should be doing. Otherwise he was just typing the code, not really adding value.

That is where I was resistant to it. If you are a manager or leader, of course people will realise that. If you are resistant you don't have to openly say it for people to feel it. That was also a reflection on myself... OK, the problem is what should you do? My first learning was maybe I should first convince myself that it is a good thing before I start telling my guys that this is a good thing – so I sound like I really believe it.

I think that is what people realise really fast. For every change you don't want to make it perfect for each and everybody. Then you just need to overcome the situation and say 'I'm pushing it now', and you need to reach this comfort level that you are as good as you could get at a certain point.

And then myself I realised I'm not there. And of course it gives the questions 'should I take a part in it?' 'Should I own something?' to make it better. And that's why I voted – together with [Snr.Dir1] – to go to the Change Advisory Group to get feedback from the group back into that, to get a more active role in deciding where this thing goes.

Then, of course, I was disappointed in the way it finally ended up, because I was also dedicating my time to it, then all of a sudden we decided we don't do that. I sometimes wonder if people took it seriously. I think Jan took it seriously, but on the SMT level I was not sure that everybody took it

seriously. And this is just an assumption, but I think if I share that with my peers, their perception... nobody openly said that, but you realise it immediately if somebody is serious about this or not. And if you talk about it and it gets constantly pushed out of meeting agendas, then I'm sorry – you are not serious about it. And that is just what happened. And if not even my management line is not serious about it, how do they expect that I should be?

And there is the disconnect – you have [CIO], who is frustrated because it is not executed well, and you have people on the lower levels which are frustrated because the message is not getting to them in the way it should... The problem usually lies in the middle. I would not blame the SMT only, but probably SMT minus 1 as well – so us as well. Self reflecting, I was also part of the problem. You can do two things – you can try and change it... that was my try with the Change Advisory Board, let's try to accept that it is coming and make it as good as you can...

The other option is to just accept that it is like this and push it through, but then you are not really convincing...

The other option is just to resist it, and no one is so dumb to openly resist – they all passively resist. They try to show the flaws of a certain concept and if you search long enough you always find something. It is all about behaviour – very often the middle management does not behave and it is the root cause of all of the issues.

The lower levels might think that it is bullshit, but it is just the way that the message is conveyed to them. If you stand in front of somebody and show emotion and passion, that is what you have to do as a leader (not a manager, a leader), then the people eventually get along. You don't get everybody, but those people who are already on your side will adopt it. And then it is more about 'moving the middle'. Some will complain whatever you do... Have the masses... The 20% who are already with you, and the 60% you can motivate, around 80% of the organisation. Spend the time on this group – not on the others because you will never move them.

How did Management respond?

I think traditionally we always respond in the wrong way. If there is resistance, we always go – which tells me people are not convinced – we immediately go defensive. The reaction from [SMT1] – when I made a statement about not being ready, what I earned was a comment that I am against the whole concept, that I am a nagger or whatever.

You isolate people who are not of your opinion – it is a very common sales trick. Aggressive / defensive behaviour, in the sense of defending the thing, and then finding excuses that don't provide a rationale to follow somebody, like 'you don't have another choice'.

I remember when I talked to [Horizontal1], he said 'I have a Mandate to do it'. That doesn't help... I understand his position that he got so much resistance that you just claim 'Sorry, you have to do that. Shut up!' That is probably where you end up when you face so much resistance.

What is another option, that requires more work and emotions, is to constantly reiterate the message, say how important it is, show how important it is.

I was missing the integrity. Everybody was saying it was important, but then when we were talking about it and we had issues, it was delegated down. It told me 'You just have another thing you said is important, but actually it is not'. You just try to get it over with.

Have the feeling everybody is just trying to please the initiator. Not sure if that is [CIO]. If the direct reports had been more emotional about it, it might have gone in a different direction.

Of course, you can't ask everybody for their feedback and make everyone happy – it is never going to happen. But also be honest about it. When first introduced by [CIO], it was 'every opinion counts'.

You say that – some people say ‘yeah, yeah’, some other people say ‘yes, I want to contribute because I am invited to contribute’, but guess what happens? The same old guys from SMT minus one selected to draft it, and then you don’t have an option to participate. This was feedback I got from my people – we were invited to participate, but when we came to realise that one group is making the decisions, and we make proposals but they are not reaching that group or not considered, then you wonder what the heck am I doing? So he told me I should be engaged, apparently I am not wanted, so I don’t care – I just want to get over with it. It is going to happen, so let’s get over with it.

Defensive, but partially aggressive trying to isolate people. Of course, there are always some people who just ask these rhetorical questions to make you look foolish, or because they actually want to destroy your concept, and then at some time you have to tell them ‘I see what you are doing. I don’t accept that. So stop this’. This would be the right response, but not this aggressive behaviour. Sometimes it can be like a Kindergarten. If you see behaviour like a child in a very senior person, you go like, OK... I am not really engaged by that behaviour.

On two or three occasions where I raised some concerns, yes. [I felt treated like a child], but to be fair on some points I was also on the unfair side. Really, knowing where to put the finger into the open wound, knowing where it would hurt. I knew the concept wasn’t ready, so was asking questions that were more rhetorical in nature, so you could say that was even bad behaviour in me. That is what I reflected on myself... I said ‘what if I didn’t do that, how would I have ended? Would I have been frustrated? Just moved along with the masses? Or would I have spent so much energy on getting the concept better?’ I would have done the last one if I had been convinced we were serious about it, but at some point, I lost it.

Diversity at [Organisation] can be a problem. Some people you engage with certain behaviour that doesn’t work for others. US colleagues have different way of engaging people, then Europeans say you overdid it. If try to motivate in European style, the US guys are not really motivated – so unemotional, rational. That doesn’t motivate me. Diversity is difficult in our sense to find the right way of doing a change and motivating everybody in the same way. We have so many nations, always finding the right message. Only thing you can do is find the lowest common denominator, and that is not sufficient for anybody. Then decide for either / or and hopefully most can be engaged by that.

When the change was announced, did you feel you understood the rationale behind it fully?

I understood quite well the reason / idea was. Idea was, we have so many things we execute in such a silo’ed way we don’t exercise synergy. We would be better off combining teams together and reap benefit from those teams. Take good developers together, work on common concepts for everybody. Idea was to have expert teams.

Establishing standards better – combine all development together don’t need to talk to everybody how he would like to code. Standardisation approach is easier to be done next to the expertise. Of course with down side that every organisational selection has good and bad things, and of course idea of being so flexible to react would have required that we were on a very clear development stack, which we are not.

I have a support guy, and all support people should move to the right teams, but guess what happens, we are missing them in the project, so we have this ‘throw over the fence’ behaviour – not my problem to support this shit I developed. I think what we missed is to have one common goal across all of the units. As a developer your common goal is to develop your functionality. Support guy wants the thing highly available. As a project guy you want to deliver as fast in scope, in time. As

an architect you want to ensure quality. All of these targets are hard to align. Horizontalising, specialising even further, forces that behaviour. Everybody decides on those things that are most important to him. You have these handshakes and handovers that make the process rather slower. You could argue 'better', but I have recently spoken to a development guy who told me that if he had followed the process as defined today I probably would not have delivered anything. That is what they say about themselves, rightfully so. This very rigid level of quality... if this is what you want, everybody has to provide it. If you work like a factory you have to do a very good resource planning, and that is what we have been missing. The cross channel resource planning across all projects... put in some delays and the whole thing breaks apart. Rigid process requiring all super-quality handshake documents, but guess what... it wasn't there. Turned benefit we could have even into a bad thing.

Not all bad. We had good and bad examples, but overall what have we done wrong? Were we not motivating people right? Can't always wait until perfect and then start, so accept something will not be perfect at the start.

Was it a Cost saving exercise?

Was perceived as one in the beginning, e.g. in Testing, but already started to fall apart. When you talk about smaller teams for operations to move over, shift these guys, but they need to have an operational manager. Not there – with smaller services having less than one FTE, what do you do then? Person working 50% support, 50% project management, analysis – you cannot shift half a person, so he needs to have one and I need to have one. Could argue that have another service that he can do, but technology is so different – can only be done if you have a very precise and stringent technology stack, then you can reap benefits. At XXX [name of company] we have everything on the menu. Just because you have an ABAP developer doesn't mean he is a good CRM developer, even though also ABAP.

So I think this was falling apart. [Horizontal2] was first to say it is not cost savings any more, it is quality that is better. I think this would have been better term to sell to people. For some it was perceived as cost saving, even though Jan said no headcount reduction, it was perceived like this. Especially work done to get long-term externals out, analysing who was doing what, so people could realising bigger rationale is cost saving. That is something which is a problem in this company – we always say we want to do something sustainable, but then we just talk about cost. Sustainable means cost benefit over time, but not seeing that. Either making very silly assumption to the future and making a high invest, but we never track. Did we really save people left and right? I suppose we don't even know that. If so, these are made up KPIs and the reality is hidden.

Did you agree with the rationale at the time?

I got it quite well... Cost saving, quality, synergies... all of that. I though was in contrast to other paradigms we had set ourselves, like agility, IT of two speeds. How is that bringing speed if not quality first? What could have been done is to outline everything you wanted to achieve and do some kind of a goal mapping. Then could have seen which are negatively impacting other goals. Then would have said which was most important.

But overall I got the point what wanting to do, and it was not a bad thing.

Did you feel yourself to be part of the decision making process for the organisation change?

I felt self part, took active role later on.

In the very first time I was resistant myself, so I was not even willing to participate. Then I said it is going to happen, so I took a look at what was produced, so I participated in the review of the Business Requirements Specification.

It took me quite a while – some hours, and I had 45 annotations. I sent them back. It was ‘thank you, but we are almost finished, we try to consider it, but...’ and then I felt, OK, I was asked to participate, I participated, I felt I spent a lot of my time, but I felt not really good about it. So next time I am not doing that.

So, the thing was ‘everybody can contribute, but by the way, it is those guys...’

Did you feel able to express any reservations to management about the change?

At a certain point in time, at the beginning... but fast realise those kind of questions are not wanted. Then, even this rumour there is this list of people nagging about it, and known to [CIO].

Understand you don’t want to accept this behaviour, but at some point it seems there was a lot of resistance, but it seemed that even if you made a good comment you were on somebody’s list. Then I had one negative experience in the past, with SMT and [CIO], so I thought I need to be careful how I formulate my feedback, suggestions. Be very positive about what I said.

Talking to new horizontal head openly in discussion, then later on via some of my peers found out the person complained to [SMT1]. Why can’t you do that when I am in the meeting? If you don’t agree with what I am going to say? Had feeling there was a lot of this kind of behaviour in the background. Realise quite quickly. People talk and you get the feeling that criticism is not wanted in a good way. Understand want to suppress certain bad behaviours, but also suppressed good behaviour on good feedback / critics. Criticism is not only bad – it is a means of communication and arguing.

Also understand democracy is not very efficient. At some time you need to push down some rules, especially if you run an organisation – we are not a social welfare department. We are here to make business, earn our salaries...

Did you feel your feedback was taken seriously?

Some feedback was taken seriously and taken into account. Some was OK, good comment but not at this time... but also some people thought ‘Is this a nicely formulated attack? Or is it a good comment?’ [Horizontal1] received some very unreasonable emails, then if of 10 emails, 8 are unreasonable, can get frustrated and believe world is against you. Not even open to receive positive feedback anymore if you are in that mode.

But also tells you something, if 8 out of 10 emails are super-negative critic then you did something wrong in the change management. People don’t react like that just because they are bored. They feel they are not part of the decision, they suffer negatively from that. It is your job as a leader to make sure they don’t feel like that.

When you first heard about it, did you feel the change would be to your personal benefit? Or that you would lose by it? Or that it was irrelevant to you?

Didn't get too much into win and lose for myself – not personally affected. More concerned about the teams – some people might lose because had feeling if push people into certain role, like support role, I am taking something away that has been discussed in their development plan. I wanted to make sure when talking to [Horizontal1], [Horizontal3], that they see a career perception. Had feeling one or other might see it very negatively, might be 'losers'.

At some point in time also asked myself... When talking to Horizontal heads it was most important how much money they get and people they have more than whether it makes sense or not. People speak very proudly about how much budget goes through their hands and how much headcount they have – wrong perception of a 'winner'. Some people might have felt as 'losers' because they were having to let people go and they were defining themselves by past career steps. The more people they got, the higher position they had.

Myself, at one point in time I was super-happy that I could move people to a support organisation and have a more compact team which can focus on different stuff. I thought it was a benefit if some of the burdens of operations can be given to a different team so they can really work on that.

At the same time I felt sorry that we had to move people to support, right now was not defined what career level would be, so felt whoever I decide to move is a 'loser' and who stays is a 'winner'. That was more an emotional fight in myself.

Of course ask the people and ideally they say if like to go or like to stay, but also I had a problem with a developer, but development organisation was so inflexible. Tried to find mode where can work, but was always 'no cannot do that. This is the mandate.' So if can't do that and turn a career plan upside down then will most likely leave the company because he doesn't like how you behave. So even if makes sense that people would join you, the way you behave to this person is so ridiculous that he will never join.

I got this from my people. I tried to mediate but when get stuck on foundational stuff... 'I have a mandate' kind of thing, just stop talking to people. No use.

What about on the social / status level? Did it make any difference to you (e.g. ego etc.)?

Not define myself by number or headcounts, answer is no. Still responsible for budget and topic. Just because people not reporting to you, doesn't mean not accountable for it. Little bit trickier – if have team member can give direct instructions. If have another manager, maybe need to do some more alignment work up front which is not so effective.

But, social status wise, no... I didn't care

What was your emotional response to the pressure at this time to comply with the change?

Timing as such was good. Had a lot of time for the change. The problem I saw was Progress. Could say after 9 months could expect that 4 weeks before go-live that 80-90% ready, but in some areas was at best 50%.

We struggled at beginning to really progress. Then the date was set and it HAD to be that date. Can't delay because of politics – we said we would go live on that day... Be honest with the guys, get in front of your troops, say 'we set ourselves a date, we now believe it is not the right point in time', tell us they take it really seriously.

Timing wise it was not a problem.

At the time, did you have any concerns about being able to deliver your projects under the new organisation?

Absolutely.

At first, not. But when I saw how whole thing was going to work I had a lot of questions. The problem is we still keep the same old rules for project execution with the new teams. So the PM is still responsible for in-scope, in time, in quality. But now, as the model with the charge out and the cost being here and there, I was missing controls... How to ensure a cost control over a development team if I am not even part of the negotiation, and by that time it was not clear how the effort estimation would be done, how the chargeout would be done. How to see if order development effort, if after certain time how much progress done and how much money spent? Discipline of Project Management. Taken away.

Didn't have any means for PM to act on that. Then also with very strict rules, how flexible can I get in my projects? Had concerns able to deliver in quality.

And the testing team... Question was, what can they test? Can they do functional testing? No. Spend €30K on testing but cannot ensure functional testing done? To what extent do you take over in full, and to what percent. Was not expected everything runs perfect at the start, but had my doubts if my projects would run better, cheaper... Then my neck is on the line as the Program Manager, but the means of control are taken away from me. So, how can you make me responsible if I don't have the means? Then you put even a manager in between that might have a different opinion. How is that effective? It is not.

What about now? Do you still have concerns about being able to deliver your projects? *Were* these concerns valid?

We have some good, some bad experiences. Still some issues with the testing, can't have it in full – this is what you can do, what you can't do.

For the smaller teams we also found a solution – makes no sense to shift people from smaller teams to central organisation just for the sake of it, so they have not moved. Therefore it is OK. Does it fulfil paradigm of horizontalisation? No it doesn't. But it is the most efficient thing for the company because it saves costs.

Some positive things happened. The development team has some good people in Spain, and the team is really impressed by increased quality in certain aspects. Consultancy, and around development. So really happy and saw benefits – took less time, better quality than before. Internal people hired who acted better than consultants we had before.

Could argue if part of horizontalisation, but could count this as a success.

During the time between the Concept phase and final implementation, there was a considerable reduction in the number of people / amount of budget to be moved from CoEs to Horizontals. Why do you think that was?

Very easy. When asked for the numbers, no intent that would horizontalise. There was a rule of thumb when we did that – don't want to have numbers like 0.1, 0.2 etc. At least half an FTE and then round up.

Ended up that I barely had anybody who was a pure service guy, developer... I had people who develop, but to 20%. Had to decide if they did most of their task as development or project management, and I assigned that.

To what extent was it caused by the process ('wrong' initial figures), or resistance?

Later on, these numbers were taken out of context and told 'you have to move 7 people, 3 people, 2 people'. According to that, would not have had to move anybody to organisation. [Horizontal2] asked 'does nobody test?', said 'Yes, in my team everybody tests, but only at 10% which is why do not see an FTE.' I did revised numbers, but still working with old numbers.

Had big fight with [SMT1] – told him that if you are going to do something like this, have to tell people what intention is. Totally different exercise from before. They you have different numbers, makes business case calculations on numbers with wrong assumptions – that does not work. Big argument – if you work with data, you have to make sure it is not taken out of context. This was taken out of context. Even proposed how you could do it, but he didn't even want to hear that. Assumptions was wrong, took as baseline for this move. In the end, everything aggregated was just wrong

Honestly, when some numbers asked for, out of peer discussions people said 'I know what they are up to, so making sure that I don't have an impact', so think it is both. But if being honest about something, people don't react like that. If you try to hide it and formulate it in a nice way, some people react 'do you think I am dumb? I am not getting the point? Why don't you tell me that?'

Do you feel the change in change leadership between concept and implementation phase played a role?

I think people didn't even realise that with the [Consultancy company] exercise that [Consultant1] had any leadership role in that. Most people heard xxx taking over and thought poor thing, having to take this on.

Don't think had a big effect.

At the time, did you have any concern about the difference this change would make to your career development or your standing in the company?

No.

I don't define myself by that. Was not concerned. Was more concerned about my guys. No direct impact to me except that might have lost 1/3 of my team to someone else. I didn't care.

What difference did you feel the change would make to the effectiveness of your department and of IT in particular?

Of course – as a whole and also mine.

When execute a change always assume it will go down first, but then if you have a good feeling that it is a good concept, accept that as you see the benefits of it. Problem is, think will have a negative impact when execute it, but even more negative impact as seems not super-mature. So looking for how I can be one of the last people to move to that concept. Not afraid of losing people, but concerned might be super-inefficient.

Do you feel that either senior management or the Horizontal leads were effective in communicating the change, and addressing any of your concerns?

Horizontal leads tried very good communication, tried their best.

SMT? I think it was like most of the things we do, we say now we do that and I believe it makes sense, but I didn't feel they seriously believed in the same way maybe Jan did for the Horizontals.

For Horizontal leads themselves they had a big opportunity.

They did a lot of communication on that. Would not say there was a problem on communication – I don't think that was the case. Maybe just in Progress as it came to the end. Said done with BRS document but still in draft 2 days before release...

Did you feel you were able to influence the change to take account of any concerns?

Involved in Review process, providing information. There I felt was less strongly influencing because said 'hear so many people, can't listen to everybody'... Took a lot of effort into this, and was a bit of a downer.

Later on, actively took on role for CAB, took the active role. Instead of just being told how it was done, rather be part of it and try to influence it. Did not feel SMT and [CIO] were paying attention. That is one of the reasons why we locked it down in the end. For them it was done, go to the next endeavour.

Did you see a major shift of power in IT? If so, how did you feel about it?

No... If you define yourself by that [people, money] could have seen problem.

Even saw as opportunity, if don't have to do certain things... not 'mundane' tasks, but reoccurring tasks... burden taken away from me so I have more time to do other things, so I saw it as a good thing.

Could increase impact in company, so I actually thought it was a good thing.

Appendix 5: Code system used

The coding system was built up over several iterations of coding. As new insights came up, extra sub-categories were created. As themes began to emerge, categories were brought together to form logical groupings.

- **Resistance**
 - Sources of resistance
 - PM, Team lead, Manager
 - SMT
 - Senior Director
 - Evidence of Resistance
 - Was NOT resistance
 - Was Resistance
- **Response to Resistance**
 - Emotion
 - Intervention Strategies
 - Orga CAB
 - Effectiveness of intervention strategies
 - Ineffective
 - Was Effective
 - Erosion of Change
 - Was NO erosion
 - WAS erosion
- **Factors influencing Resistance**
 - Stake / Vested Interest
 - Shift of power
 - Gaining Power / Positive
 - Losing Power / Negative
 - Winning and Losing
 - Neutral
 - Winning / Positive
 - Losing / Negative
 - Credibility of Solution
 - Rationale / Vision
 - Disagree with Rationale / unclear
 - Rationale Changing
 - Rationale Clear / Agree

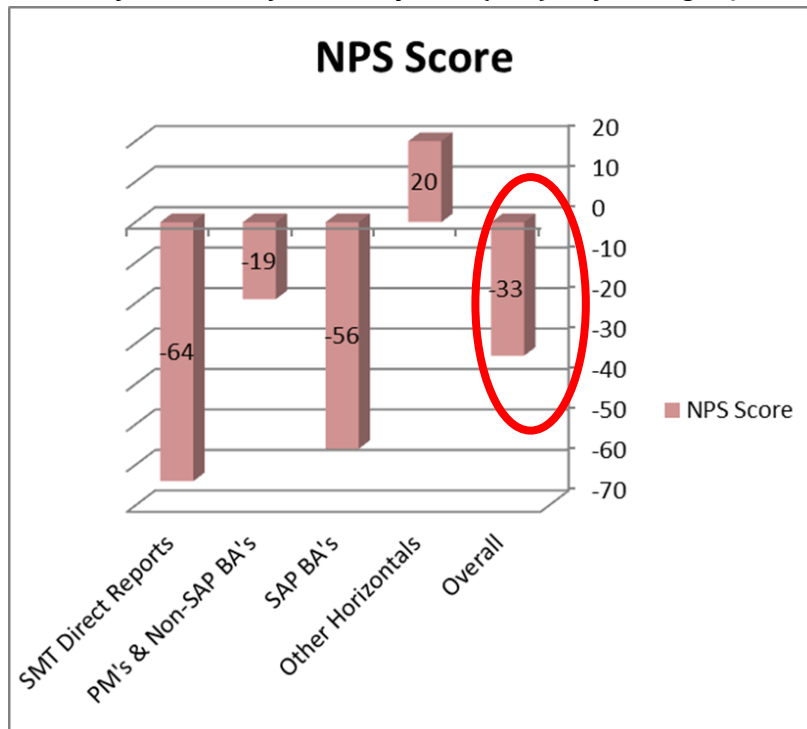
- Solution Suitability
 - Concern / Disagreed with approach
 - Approach OK / Agreed with approach
 - Maturity of organisation
 - Current situation / Experience
 - Negative experience
 - Positive experience
 - Credibility of solution / results
 - Did NOT bring improvements
 - BROUGHT improvements
 - Solution / results not credible
 - Believe in solution / results
- Communication and participation
 - Change Leadership
 - Leadership NOT committed to change
 - Leadership showing commitment to change
 - Leadership lacking or caused problems
 - Leadership effective
 - Behaviour
 - Defensive / Aggressive behaviour
 - Underhand, untrustworthy behaviour
 - Open, Honest, Trustworthy behaviour
 - Participation
 - Feedback NOT accepted
 - Feedback Accepted
 - Pressure to conform / Groupthink
 - Able to participate / give feedback
 - Unable to participation/ couldn't give feedback
 - Communication
 - Lack of / unclear communication
 - Sufficient / Clear Communication
- Other Factors
 - Change Process
 - Process OK
 - Process caused problems
 - Speed of change
 - Speed was OK
 - Speed too fast
 - Change Fatigue
 - Fear of change
- **Employee Engagement**
- **Evidence of Kotter Stages**
 - Establishing sense of urgency
 - Was NO urgency

- Was urgency
- Forming guiding coalition
 - Was no coalition / ineffective
 - Was Coalition / effective
- Creating vision
 - Was NOT clear / effective / compelling vision
 - Was clear / effective / compelling vision
- Communicating vision
 - POOR communication
 - Was communication
- Empowering others to act on vision
 - Others NOT empowered
 - Others empowered
- Planning for and creating short-term wins
 - NO evidence of short-term wins
 - Evidence of short-term wins
- Consolidating improvements and producing more change
 - Improvements NOT Consolidated
 - Improvements Consolidated
- Institutionalising new approaches
 - Change NOT Institutionalised
 - Change Institutionalised

Appendix 6: Secondary Data

This section contains a selection of secondary data sources used.

NPS Study conducted for Development (GSD) only during 4Q 2014



Shows an improvement from a -33 NPS score in Q4 2015 to +30 in Q1 2015

Figure 14: NPS Study (GSD only) from 3Q 2014

NPS Study conducted for all Horizontal departments during 1Q 2015

A) Has Application Engineering & Support delivered in time, in quality and in budget?

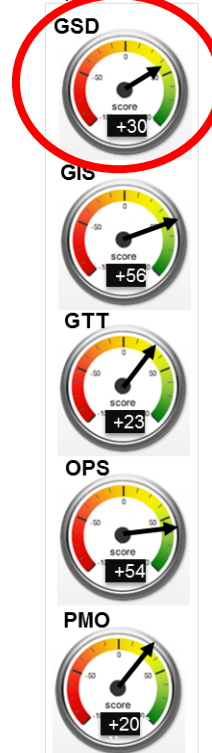
	TIME		Quality		Budget	
	Yes	No	Yes	No	Yes	No
GSD	80%	18%	80%	18%	90%	9%
GIS	91%	9%	91%	9%	100%	0%
GTT	92%	8%	77%	23%	100%	0%
OPS	100%	0%	100%	0%	100%	0%

B) Specific question per Application Engineering & Support Team

GSD	1. In which phase of the project did the Project team reach out to the GSD team?					
	Pre-Project	Preparation	Specification	Realization	Final Prep.	Go-Live & Sup.
	23%	54%	8%	15%	0%	0%
GSD	2. Solution delivered acc. to the design?					
	Yes	No	Yes	No	Yes	No
	88%	13%	45%	55%	45%	55%
GIS	4. In which phase of the project did the Project team reach out to the GIS team?					
	Pre-Project	Preparation	Specification	Realization	Final Prep.	Go-Live & Sup.
	38%	38%	15%	8%	0%	0%
GIS	5. Value add of tech. expertise to the project?					
	Yes	No	Yes	No	Yes	No
	100%	0%	83%	17%	83%	17%
GTT	7. In which phase of the project did the Project team reach out to the GTT team?					
	Pre-Project	Preparation	Specification	Realization	Final Prep.	Go-Live & Sup.
	38%	23%	23%	15%	0%	0%
GTT	8. Testing delivered acc. to agreed approach?					
	Yes	No	Yes	No	Yes	No
	75%	25%	83%	17%	83%	17%
OPS	10. In which phase of the project did the Project team reach out to the OPS team?					
	Pre-Project	Preparation	Specification	Realization	Final Prep.	Go-Live & Sup.
	20%	27%	0%	7%	20%	27%
OPS	11. OPS provided all requir. info for handover?					
	Yes	No	Yes	No	Yes	No
	92%	8%	100%	0%	100%	0%

(16 responses)

C) NPS Score



D) Feedback from Application Engineering & Support for PMs?

	Has AE&S been contacted in time ?	
	Yes	No
GSD	88%	13%
GIS	100%	0%
GTT	100%	0%
OPS	100%	0%

	All needed infos received in the right quality ?	
	Yes	No
GSD	86%	14%
GIS	80%	20%
GTT	70%	30%
OPS	100%	0%

(16 responses)

Figure 15: NPS Study for all Horizontals from Q1 2015

Force Field Analysis

As part of the Change Management effort, a Force Field Analysis (Lewin, 1951) was performed to help the Horizontal Leads understand what forces were working *for* the change and which ones were *resisting* the change:

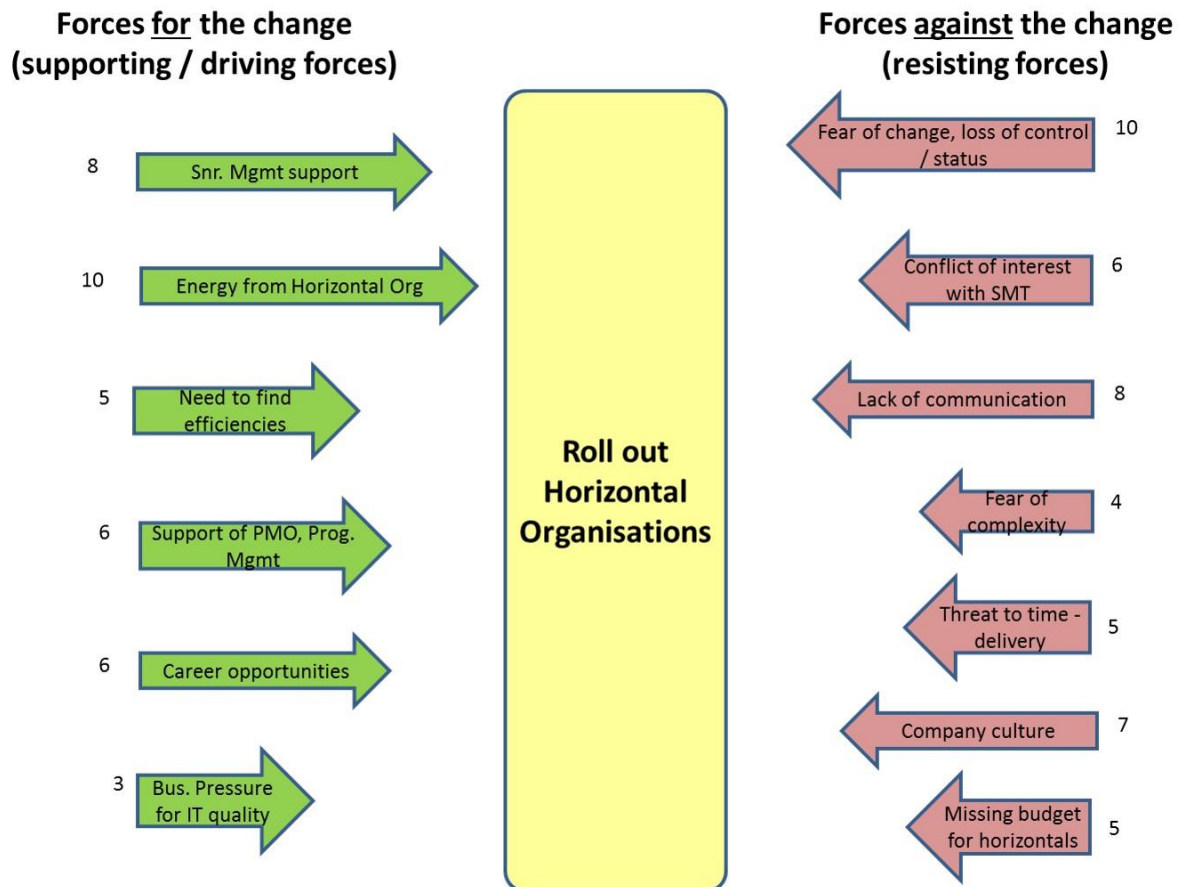


Figure 16: Force Field Analysis of the change

Appendix 7: Organisational CAB

Slides taken from CIO's presentation (19.3.2014), announcing formation of the Organisational CAB.
Mandate from CIO was:

- Make decisions / recommendations on processes and organisation
- Aim to reach agreement in the CAB with the Horizontal Leads / Supporting Functions.
- If not, escalation path is to SMT oversight then to CIO

FURTHER SUPPORT NEEDED TO MANAGE CHANGE



- 1 SMT communication to direct reports & PM's
 - Clarify 10% mark-up rational
 - Confirm start date of adjusted RAP 2.0 by Apr 2nd
- 2 Common target for directors and PMs to support the change
- 3 Set up a Change management advisory board with nominated change agents per COE
- 4 Training to be supported by nominated change agents and/or PM's
Onsite trainings to be held in Portland/Canton, HK

Objective: Get SMT support for proposed additional change management actions

4 CHANGE MANAGEMENT: ADVISORY BOARD AND TRAINING



- Change agents
 - X-Funct: XXXXXXXX
 - OPS: XXXXXXXX, XXXXXXXX
 - Sales: XXXXXXXX, XXXXXXXX
 - eCom: XXXXXXXX
 - Digital: XXXXXXXX and XXXXXXXX
 - Supporting Functions: XXXXXXXX, XXXXXXXX
 - Leads of the horizontals
 - 1 SMT member to attend (tbd XXX, XXX or XXX)
- Change agents to 'check pulse' within COE (informal talks to PM's etc.)
- Conduct monthly feedback sessions with change agents & leads until end of 2014 to continuously receive feedback and fine tune processes
- Feedback loops to be managed centrally by XXXXXXXX

(Names removed for confidentiality)

Appendix 8: Ethics Checklist

Following Research Ethics checklist was submitted to Supervisor and accepted during the Dissertation module:

Research Ethical Considerations Screening Checklist

(Adapted from: The Economic & Social Research Council Research Ethics framework 2005)

This checklist should be completed for every research project that involves human participants or *other animal* participants. It is used to identify whether a full application for ethics approval needs to be submitted. If a full application is required, the university proforma must be used.

Before completing this form, please refer to the University Ethical Guidelines for Research, Consultancy and Project Work.

The principal investigator or, where the principal investigator is a student, the identified supervisor, is responsible for exercising appropriate professional judgement in this review.

This checklist must be completed before potential participants* are approached to take part in any research.

All research activity must adhere to the university's Equal Opportunity Policy Statement.

Title of research:	The effectiveness of Intervention Strategies in addressing resistance to change: Case study of a Germany sporting-goods company
Name of researcher (applicant):	Steven Janes
Status (please select):	Postgraduate Student
Email address:	XXXXXXXXXX
Contact address:	XXXXXXXXXX
Telephone number:	XXXXXXXXXX

For Students Only

Module name and number:	MOD053 – Research Methods and Dissertation
Supervisor's or module leader's name:	Dr. John Gunson
Email address:	john.gunson@rkc.edu

Please complete the screening checklist below. **Answering yes to any of the questions will require you to explain how the ethical issues raised will be managed and a full application to the relevant research ethics committee will be needed (links that provide additional information for several questions are provided, if needed))**

1. Does the study involve participants who are particularly vulnerable or unable to give informed consent (e.g. children, people with learning disabilities, your own students) ~~Yes~~/No
[British Psychological Society \(BPS\)](#)
2. Does the study require the researcher(s) to have CRB clearance? ~~Yes~~/No
[Criminal Records Bureau \(CRB\)](#)
3. Will the study require the co-operation of a gatekeeper for initial access to the groups or individuals to be recruited? (e.g. students at school, members of a self-help group, residents of a nursing home) ~~Yes~~/No
4. Will it be necessary for participants to take part in the study without their knowledge and consent at the time? ~~Yes~~/No
5. Will the study involve discussion of or the disclosure of information about sensitive topics? (e.g. sexual activity, drug use) ~~Yes~~/No
6. Are drugs, placebos or other substances (e.g. food substances, vitamins) to be administered to the study participants or will the study involve invasive, intrusive or potentially harmful procedures of any kind? ~~Yes~~/No
7. Will blood or tissue samples be obtained from participants*? ~~Yes~~/No
[Royal College of Nursing \(RCN\)](#)
8. Is physical pain or more than mild discomfort likely to result from the study? ~~Yes~~/No
[Economic & Social Research Council \(ESRC\)](#)
9. Could the study induce psychological stress or anxiety or cause harm or negative consequences beyond the risks encountered in normal life? ~~Yes~~/No
10. Is an extensive degree of exercise or physical exertion involved? ~~Yes~~/No
11. Will financial inducements be offered to participants other than to cover expenses or time involved? ~~Yes~~/No
[British Educational Research Association \(BERA\)](#)
12. Will the study involve recruitment of patients through the NHS? ~~Yes~~/No
[National Research Ethics Service \(NRES\) \(NHS\)](#)
13. Will the study demand participants to commit extensive time to the study? ~~Yes~~/No

Signed:

Date:

Appendix 9: Data Analysis Spreadsheet

In addition to coding in MAXQDA, an overview of all interviews was captured in a spreadsheet:

Code name	Category	Resistance?	Assume Resist Personally?	Understand / agree rationale?	Core Team? Or SMT?	CAB Board?	Internals lost	Consultants lost	Budget lost	Felt Win, Lose, Indifferent
SMT1	SMT	Yes	No	Yes	Yes					Always be 'winners' and 'losers' Initially didn't think about it. Latest change told would get horizontals, had been very excited. didn't get it after very hard talk with Jan
SMT2	SMT	Yes	No	Yes	SMT					
SMT3	SMT	No	Lukewarm	Had doubts	SMT					Win (don't like KSRI!)
Snr.Dir1	Snr. Dir	Yes	Yes	No		Yes	1	11	€0	Can't influence cost and people but still responsible. Limits flexibility Still emphasis in IT that owning money and people shows importance.
Snr.Dir2	Snr. Dir	Yes	Yes	No		Yes	1	0	€1M	Indifferent. Thought may be problem for teams
Snr.Dir3	Snr. Dir	Yes	No	Yes			9	9	€5M	
Snr.Dir4	Snr. Dir	Yes	Yes	No		Yes	3	0.5	€6M	Lost massively in control and ability to influence. Harder to deliver project, and quality improvement not big difference
Snr.Dir5	Snr. Dir	Yes	Yes (reduced amount from own area. Could have mandated, but selfish enough to not step in)	Yes	Yes	Yes	1	0		Would have lost team members and responsibility. Feel less powerful than before. Your kingdom and you are losing part of it.
Horizontal1	Horiz. Leac	Yes	No	Yes		Yes				Absolutely [a winner]
Horizontal2	Horiz. Leac	Yes	No	Saw both sides		?				Had concerns might fail
Horizontal3	Horiz. Leac	Yes	No	Yes	Yes	?				
Consultant1	Cons.	No	n/a	Yes	Yes					

Figure 17: Data Analysis Spreadsheet (part 1)

Code name	Causes	Rationale? Why did we do it, did you agree with it?	Was it good for the organisation?	Participate? Feedback?
SMT1	Loss of people and power. Always be 'winners' and 'losers' in change	Start: Clearly about saving €30M. Then evolved as considered 'what' and 'how' and came to focus more on quality. SMT1 believed Cost and Quality compatible goals, but thought Kai and Markus disagreed.	Really believe changes we have to make are crucial to company. Will be driven from Infra and Horizontals. Had felt concern for big ERP projects. Although issues got fixed, caused additional work and frustration. Now have more handovers, more maturity needed. IT Organisation is undisciplined	Yes. Asked to give commitment to change. Felt had some <u>real</u> discussions in SMT. Impression Jan not steering all discussions - i.e. could reach own conclusions
SMT2	1. Fear of change. Don't know what personal impact will be 2. Insecurity 3. Snr. Directors had not has as much exposure to change as SMT / Core team. Needed more time	1. Quality issues 2. Related to missing capabilities: Where to build them? In Functions or Horizontally? (Note: NOT primarily a cost saving exercise to begin with , but also start to look at efficiencies)	No concerns. Still have issues with partners, but not related to the Horizontals.	Yes. Involved from beginning. On agenda of every SMT call for > 6 months.
SMT3	Mainly direct reports doubting value-add or clarifying goals / more information. Wouldn't call it resistance.	1. Economies of scale. 2. Quality focus. Took Operations as example - brought enormous value-add to eCom by centralising support and improving quality. CIO communicated Quality more than economies	Most doubts about value-add (in own area) proved true. No benefits for own area, but now removed uplift, back to cost-neutral. Operations area DOES give benefit, but don't see quality improvements in Dev. Or Testing.	Yes, absolutely. Good, mature discussion in SMT. Was able to give feedback
Snr.Dir1	Still certain emphasis in IT that owning money and people shows importance. Managers try to secure that level of responsibility or influence or empowerment. Therefore try to minimise what have to give away. Was not personal issue. Was power thing.	Bundled together with certain IT Strategies: IT of 2 speeds and efficiency around cost.	Huge impact to project delivery from my side, which needed to be compensated by more internal effort, changing milestone planning etc. Pain level still same - although should have assumed would improve From cost perspective, resulted in INCREASING costs. Trackable. Measurable. Seen. Happened. Some people are losing but overall we are winning	Not part of change. Signed up for Orga CAB so could highlight concerns and issues. Got negative feedback about the CAB board - taken that were against change instead of trying to make it a success and address apoin points. Sometimes Horizontal leads not accepting concerns. Able to make some differences - RAP Methodology
Snr.Dir2	Disagreed with rigid processes. Too fast - processes not ready	1. Build up internal resources in Development and Testing, which couldn't do before as was so fragmented. Saw conflict with other paradigms e.g. agility, IT of 2 speeds 2. Standardise things to increase quality and efficiency (Note: Not cost saving was not main reason) Sometimes had doubts if was right solution for	Some good, some bad Testing still issue Development team has good people, and impressed by increased quality	At first, resistant so did not even try to participate. Then when accepted going to happen, tried to participate (e.g. review processes / documents), but felt feedback not accepted / appreciated. Some of feedback taken seriously, others was 'OK, good comment but not at this time'. Sometimes feedback interpreted as attack. CAB not taken seriously
Snr.Dir3	Fear of change, belief that not efficient / best solution	1. Overcome silos and move towards process driven support 2. Economies of scale. Get larger entities together to negotiate better contracts 3. Create entity with clear focus on KSR only	Projects more impacted by Global Development and Global Testing - especially testing. Heard people say testing is not most efficient	Not in concept, only execution. Feedback taken seriously. Most input to horizontals taken account of
Snr.Dir4	1. People not comfortable with Power & position in relation to own responsibility 2. Harder to deal with situations 3. Promised benefits not balanced by negative aspects 4. Worried projects would fail because of change	1. Presented as a quality improvement 2. Then, immediately people / CIO talking about cost savings. Sees as more of efficiency exercise being sold as quality improvement. Do not see we have gained what we wanted to get. Not seeing any reports showing quality improvements	Before had everything under control. Could more easily control situation. Better focus on engineering, so do win something. Own feeling: Negative impact for own team. Maybe other teams with less capability got a benefit. Have feeling that am limited now - still have burden to fix problem but don't have impact to correct it. Someone between you and vendor now with different interests	Not at all. Think was mistake in process. Should have used Snr. Directors. If had made them part of decision think would have been easier change. Was asked for feedback, but was not well handled - not taken seriously. Told would be taken to SMT meeting, but never heard anything back.
Snr.Dir5	How woud it impact ME. 1. Immediate impact on people. Themselves 2. Not having understanding how could potentially work. 3. People had own / differing opinions on how best to approach the change	Was part of core team so clear from start CIO's 'triangle' of quality, cost...	Felt was right way, but when saw size of documentation required started to worry Also when saw how many headcounts onboarded in Testing without clear deliverables Wondered if we challenged these extra headcounts enough. Believe should have shifted existing people, not created new headcount - but if CoE holds back best resource, Horizontal lead has no choice. Concerns about Testing were valid Now have to talk to three different teams. Need better way e.g. SPOC Able to talk about losing 2/3 of his people due to special situation	Yes. Part of core team. Multiple chances to share feedback. Secrecy was needed, but once had concept could have got group of managers to go through it in moderated session to get their opinions
Horizontal1	Two kinds of resistance: 'Easy' kind that hear, feel and observe; 'Below Waterline' kind that was not visible but saw results in action (hiding information, misleading - 'vicious'. People flat-out lied. Below waterline resistance. Hiding information Most resistance came from Snr. Director level. Causes: - Easy kind: People afraid for career when they saw most / all their people and budget moved away. Others reacted less straightforward to safeguard their position Two camps: one starts very friendly and cooperative, but turned into very difficult customers. The other started really challenging (directly or indirectly) turned into good working relationship	When you bring all sepcialists together you build a depth of manufacture Get economies of scale Get triple benefits Jan talks about: guiding internal know-how, Cost, Quality Another reason given by Jan in SMT meeting, when SMTs said we were not mature enough for this: Said we are €15B company. Can not run like mum and pop shop. Need rogour and structure.	Yes. Look at achievements in 2014. Building up internal knowledge	No participation in original concept. Only after decision made. Then had full control building up organisation
Horizontal2	People afraid losing headcount and budget, and tried to minimise this (If horizontals, then smallest impact to me). People not honest in feedback. Afraid losing HC and €	1. Build up internal resources in Development and Testing, which couldn't do before as was so fragmented. 2. Standardise things to increase quality and efficiency (Note: Not cost saving was not main reason) Sometimes had doubts if was right solution for all areas	Think we <u>totally</u> help the projects, especially cross-functional ones. Now have specialists who have an opinion. Think we can make a difference.	Only participated after took over Horizontal role. Even then, didn't feel could add great value (lack of experience). When came to implementing / building up own organisation, could make <i>real</i> difference
Horizontal3	Losing power and resources - feel less important. 'Will this help me become a VP?'. Also fear of losing job or being demoted after lose HC and budget.	1. Standardisation: Stop re-inventing the wheel! 2. Get big enough organisation / enough power to get job done. Can e.g. demand from Infra to open up Monitoring (not possible for individual apps)	Team gets great feedback... Also from guys that had major concerns PDM: feedback they are doing a great job, a fantastic job. They see that things are changing, on a good side. Now have a support team in place who has the technical capabilities	Involved from beginning. Able to influence staging rather than big bang approach. Proactively made requests to SMT / CIO
Consultant1	Uncertainty - part of normal process		Had expected a small dip - hard to avoid. Question is ho do you manage this dip, what is the strategy? To completely avoid it is difficult. Now: Haven't heard anything negative	Responsible for approach

Figure 18: Data Analysis Spreadsheet (part 2)

Code name	Orga CAB: Views	Climate OK to express reservations?	Erosion causes	Leadership Commitment to change
SMT1	Created 'complaint' group (Orga CAB) to address concerns.	Relatively easy. CIO had some strong opinions, but was open to receiving input. CIO approached as engineering puzzle. Had promised horizontals to SMT1 Instead of admitting had made mistake, went into 'aggressive defense'	Changed when people realised what would happen. Both Snr. Dir's and SMT started challenging numbers and rationale. Perception: resistance caused by loss of people and power. Thought Veitinger went overboard on 'theoretical' side. Over focus on numbers gave ammunition to resistors. Got bogged down in recalculating numbers ('pseudo facts')	Most SMT <u>except Jeff</u> thought right thing to do, but half (esp. SMT3, SMT2) thought not ready
SMT2		Yes. Could have open and honest discussion	When theory meets reality	Yes, SMT fully committed. Was long process with long discussions. Fact based. Would be surprised if anyone said differently
SMT3		Yes, if fact based. Otherwise, have to be careful what bring forward (i.e. not if based on fear of losing power, budget, people) Have to be very careful what you bring forward	Wrong assumptions from change team. Needing to validate assumptions. 'Hiding' not possible, and 'Resistance' (I don't want to do this) also not possible	Didn't see lot of short / mid term benefits. Not own biggest priority
Snr.Dir1	Important as mid-level mgr to ensure right info spread across organisation. Ensure concerns issues, etc. addressed Easier to address issues as part of group of several colleagues. Had some negative feedback out of CAB board, that against the change instead of trying to make it a success and address pain points. Gave signal that neither Snr. Mgmt nor Horizontals are communicating or addressing my concerns. Was able to influence a bit: make RAP Methodology clearer on roles and responsibilities, and remove the 'uplift'	Only because teamed up with other people. As part of group addressing same issues, was accepted and could present to SMT	Owning money and people shows importance. Managers try to minimise what they have to give away. Power. When have to list names to go, start fighting decision basis. Easier to challenge data than to say don't want to give up people. Lacking clear guidance in data collection what should be in or not in.	Never saw leadership. Didn't see responsible person. Was only one leader - CIO Said we will make this happen.
Snr.Dir2	Volunteered for CAB to try to address things thought were wrong with change. Disappointed what happened with CAB: Felt investing time but SMT didn't take it seriously. Make proposals, but not reacting that group or not considered.	When discussed with SMT1 in MT meeting, asked if was against concept. [Defensive attitude from Mgmt. Only at beginning. List of 'nagging' people given to CIO - even if make good comment go onto list	When asked for numbers, no intention to horizontalise. Gave feedback based on guidelines (at least half and FTE - no fractions). Then, these numbers taken out of context and told have to move that number of FTEs as Headcounts.	Horizontal leads tried to do good communication. Tried their best SMT: Don't think seriously believed in same way CIO did
Snr.Dir3		Able to express reservations. However, told SMT1 at the end of giving well-functioning teams away, and raise other aspects of own influence	Own numbers were consistent	
Snr.Dir4	Feel CAB was measure to not only talk about problems but give everyone in Organisation feeling credible people part of such a group and can mention concerns to them.	Could express opinion to own SMT member but he was irrelevant, because the CIO was not receptive to feedback. Was weakness in whole change. Communicated as an 'SMT Decision', but could feel was only half-hearted support. Feel no balanced discussion in SMT. Currently in position where project in trouble due to incompetence of partners, and can't say this to CIO because that would be attacking HIM and he doesn't accept that.	Originally asked to give best estimates on Functional Map but did not talk about the consequences. These estimates then became commitments and you have to live with consequences. Also a difference between abstract level and nitty-gritty reality. Sometimes don't know everything. Tried to give best estimations. People work with assumptions, those assumptions change when people look into what is real factual situation Erosion was caused by undarity, not resistance. Resistance came later on when people got frustrated by realities - e.g. handed over support people, but then told still had to handle releases, although had handed over the people.	Felt SMT didn't fully support it Missed seeing communication of success stories, progress reports, what we are going to do next.
Snr.Dir5	CAB helped fine-tune and raise issues. Unsure how much CAB discussions were shared with and reviewed by SMT - always the question. Would have expected clear guidance. Clear decision or no-go from SMT but didn't see this.	When saw amount of documentation needed and amount of headcounts onboarded without clear deliverables, didn't know how to give feedback because CIO was very clear was going to happen.	Vested interest and stake. Quality of people transferred. Mgs picked weaker ones to move. Erosion 30-40% due to process of collecting number, 60-70% due to resistance	Good at communicating change, why we are doing it, how to do it Unclear what opportunities have if don't want to do it No so good at bringing it to broader audience to get buy-in, making people feel part of change
Horizontal1	Showed SMT iceberg picture. Some afraid for jobs, some losing control, some quality. Deliberate attempt to bring all 'noise-makers', troublemakers, into Orga CAB. They were resistant but liked the limelight. Liked that SMT nominated them. Able to 'vent' in front of bigger groups. Felt it helped them let go.	Yes. Some received, others overruled	1. Initial baselining based on invalid assumptions which were not same when implementation happened (e.g. Configuration vs Development). FTE numbers included Config. 2. Camp of Snr. Directors deliberately blocking things. Said they don't do development, only configuration, but turned out they DO do development 3. Made management decision to redefine what we meant by Development e.g. decision to exclude 'black box' solutions to horizontal, or where makes no sense to split areas into Dev, Test, Support (like BI).	Some resistance at SMT level, but subtle (don't ask, don't tell)
Horizontal2		Yes. Totally supported 100%, also with CIO. Encouraged to speak openly	people lost control or status, tried to minimise impact for them	Got support from own boss and CIO. Didn't feel support from rest of IT. Resistance came from SMT to M1, M2 level
Horizontal3		Yes. Culture is that can express demand, wishes and will listen to you. Not always get what want, but at least listened to.	People didn't realise what initial figures would be used for. When realised losing control and power, started hiding. Also partly due to process e.g. Development figures also included customisation	Full support from CIO all the time. Some SMT not always supporting. Others (SMT3) excellent support
Consultant1		Yes. Regular exchange of data with CIO, aligned expectations	There was no gate keeper. Needed to deal with contradiction in targets. Easier for an external outside the hierarchy to do this	More support than leadership. Snr. IT Directors gave most support, gave good inputs

Figure 19: Data Analysis Spreadsheet (part 3)